

Board Report

Financial Year 2021-22



Ather Energy Private Limited

Registered Office Address: 3rd Floor, Tower D, IBC Knowledge Park, # 4/1, Bannerghatta Main Road, Bengaluru 560 029, Karnataka, India.

Corporate Identification Number (CIN): U40100KA2013PTC093769

CORPORATE INFORMATION

Corporate Identification Number	: U40100KA2013PTC093769
Board of Directors	Mr. Tarun Sanjay Mehta Mr. Swapnil Babanlal Jain Mr. Niranjana Kumar Gupta Ms. Reeta Nathwani
Chief Financial Officer	: Mr. Deepak Jain
Company Secretary	: Mr. Raj Kiran B S
Registered Office Address	: 3rd Floor, Tower D, IBC Knowledge Park, # 4/1, Bannerghatta Main Road, Bengaluru 560 029, Karnataka, India.
Statutory Auditors	: Deloitte Haskins & Sells, Chartered Accountants (Firm Registration Number - 008072S
Email ID	: CS@atherenergy.com
Website	: www.atherenergy.com

To
The Members of
Ather Energy Private Limited

Your Directors have pleasure in presenting the 9th Annual Report of the Company together with the audited financial statements for the financial year ended 31st March 2022.

Financial Highlights

INR Million

Particulars	Financial year ended 31 st March 2022	Financial year ended 31 st March 2021
Revenue	4,085	798
Other Income	54	85
Total Income	4,139	883
Operating Expenditure	6,698	2,589
Depreciation and amortization expenses	484	351
Total Expenses	7,182	2,940
Profit before finance costs and tax	-3,043	-2057
Finance costs	398	276
Profit before tax (PBT)	-3,441	-2,333
Tax	-	-
Profit / (-Loss) for the year	-3,441	-2,333

Dividend

In view of the losses for the financial year, no dividend is recommended as per the provisions of the Companies Act, 2013 ('the Act') and the Rules framed thereunder.

Transfer to Reserves

Due to losses in FY 2021-22, no amount has been transferred to Reserves.

State of Company's Affairs

During the year, your Company sold (retail) 23,408 units of Ather electric scooters as compared to 5,523 units sold in FY'21. The top-end Ather 450X model constituted ~81% of the total units sold and the remaining ~19% of sales were from the Ather 450 Plus model suggesting good traction amongst the premium scooter buyers. This growth in volumes over FY21 was achieved despite severe constraints regarding supply of some critical components which constrained the Company to be able to service only 50% of the orders received during the year.

Hosur Plant Manufacturing Facility

On the manufacturing side, the Company is in the process of increasing its production capacity at the Hosur factory from 1.20 lakh vehicles to 4 lakh vehicles per annum by setting up another manufacturing facility in the vicinity. With this expansion, the facility is all set to serve as the Company's national manufacturing hub catering to demand from across the country for the

foreseeable future. Apart from EV manufacturing, the facility also focuses on lithium-ion battery manufacturing.

Business Expansion

Expanding the geographical footprint was a key focus area during the year. The Company expanded from 9 retail stores (Experience Centers) in 9 cities last year to 34 Experience Centers in 28 cities at the end of FY22. The geographical spread of network comprises 51% in the South followed by 21% in the West, 20% in the North and 9% in the East of India. These cities have a healthy mix of Tier 1, Tier 2 and Tier 3 cities with an extremely encouraging response from smaller towns. The penetration of EV scooters as a percentage of population is significantly higher in Tier 2 & Tier 3 cities as compared to the big metros. Big cities like Delhi, Bengaluru, Hyderabad and Chennai now have multiple Ather Experience Centers testifying the depth in demand in these cities.

Your Company has transitioned from Company-owned Experience Centers to dealership model, with a view to scale faster, expand quicker and make our retail model capex-light. As a result, 31 of the 34 Experience Centers are now managed by the dealers. However, the focus on delivering high quality customer experience which builds brand loyalty, strong word of mouth, remains intact. With the tailwinds that we are witnessing, the Company plans to aggressively increase its footprint across India by having presence in over 100 cities of India soon.

Ather grid

On the charging infrastructure front, the Company launched 2nd generation of fast charging systems. The new system increases charging speed by 50% over the 1st generation, with a higher degree of reliability. The Company has set up 203 fast-charging stations during the year, taking the total number of charging installations to 351 across 28 cities.

Looking at broader ecosystem view, and to facilitate and expedite the movement towards a unified EV connector standard in the country, your Company has, during the year, offered its proprietary fast charger connector standard for other EV OEMs.

Marketing

With fast expansion into new geographies and increasing number of new entrants in the 2W EV space, your Company's marketing focus, during the year, was three pronged – (a) to increase awareness of the brand in newer markets, (b) to increase the consideration of the brand amongst the prospects in the relatively established markets, and (c) to differentiate the brand in an increasingly crowded market.

The Company used a combination of high decibel media (comprising TV, Print, Digital, Social & on-ground activations) campaigns, engaging creative approach and impactful associations to achieve these objectives. Most of the Company's marketing investments were focused in two quarters: the festive quarter of Aug, Sep and Oct 2021 - in order to break-out of the post COVID wave-3 slump and to leverage the resurgent consumer sentiment, and the last quarter of FY'22 where your Company became the first EV2W brand to foray into the Indian Premier League by being the Principal/Title Partner to the newly formed IPL cricket team "Gujarat Titans". This association is expected to make significant impact in terms of brand awareness and business growth in the coming years.

The Company's brand message focused on appealing to the wide base of ICE scooter intenders and demonstrating the major difference that Ather scooters can create in their lives when compared to their existing scooters, thereby making the brand more relevant to them and increasing the consideration amongst these audiences.

The Company also tied up with over 120 national and regional influencers in the field of automobiles, technology, and lifestyle. These influencers, with a combined reach of over 8 million+ followers, created positive brand and product imagery through curated content that helped improve awareness and consideration for the Ather brand and its products.

As a result, the Company was able to increase the number of monthly order run-rate from 1800 per month in Q4 of FY21 to 6000 per month in Q4 of FY22.

Outlook

The outlook for the EV industry has become stronger and bullish through FY22. The tailwinds of increasing consumer demand and continued policy support from Central and State Governments have provided a strong impetus to the industry. The penetration of EV scooters in the overall scooter industry reached 11% in Q4 FY22 with March 2022 touching 12.5% penetration. This is faster than any of the industry predictions. However, the outlook on the supply side continues to be challenging with several unpredictable factors. Shortage of battery cells and chips are two of the major factors that continue to be a concern for the near future.

Recently, some incidents of EV 2W from other brands having battery and/or other product design and quality related issues were reported, leading to recall of products in some cases by the OEMs.

Your Company has been able to consistently build the reputation of being a brand that has reliable and well-built products, a wide & capable network, strong brand awareness and a customer-centric approach. This is expected to hold the Company in good stead in FY23 as it enters a very high growth phase. Last quarter of FY22 and the month of April 2022 give early signs of the positive momentum for the Company. With a healthy and stable cost structure and the above strengths of the brand, your Company is well poised to achieve breakout growth in FY23.

Government Policies

The Central Government continues to show strong intent to catalyze the shift towards EV by making the policies even more favorable for EVs. This gets more support from the State Governments that are joining the EV bandwagon by announcing State-specific EV policies.

In FY22, the Central Government increased the FAME II incentive on EVs by a whopping 50% and also increased the battery capacity cap from 3kWh to 4 kWh to be eligible to claim the incentive, thereby making the prices of EV 2Ws even more competitive as compared to the ICE scooters. Other policies like the PLI schemes linked to battery manufacturing show the continued support for EV mobility.

As of the end of FY22, 9 States have announced State-specific EV policy that incentivizes the purchase of EV over and above the Central Government's FAME II policy. The policies by several other States are expected to be announced in FY23. Many of these State policies focus

on not just incentivizing the end consumer but also on providing attractive incentives for OEMs to set up manufacturing facilities. These initiatives have acted as a catalyst to the development of the sector and will address the apprehensions of the manufacturers, sellers, as well as the customers.

Awards and recognitions

During the year, your Company received many awards and recognitions from different bodies:

1. *“Best Two-Wheeler manufacturer of the Year - by Carandbike.*
2. *“Ather 450X Crowned EV Two-Wheeler of The Year” by Carandbike.*
3. *“Best Electric Scooter” by Motor Vikatan.*

Changes in Share Capital

During the year, the Company raised further capital as follows:

- 30,658 (Thirty Thousand Six Hundred and Fifty-Eight) Unsecured Compulsorily Convertible Debentures of INR 100/- each (Nominal value INR 30,65,800) at a premium of INR 48,826 per CCD aggregating to INR 149,69,07,508 on a private placement basis, to Hero MotoCorp Limited.
- 5,025 Equity Shares of INR 1/- each (Nominal value INR 5,025) at par aggregating to INR 5,025 on rights basis to Hero MotoCorp Limited (998 Equity Shares) and Sachin Bansal (4,027 Equity Shares).

The Company has not issued any equity shares with differential rights, sweat equity shares or bonus shares.

Changes in Directors and Key Managerial Personnel

- Ms. Reeta Nathwani who was appointed as Additional Director by the Board at its meeting dated 23rd November 2020 was appointed as Director at the Annual General Meeting held on 15th July 2021.
- There was no change in the Key Managerial Personnel of your Company during the year.

Meetings of Board of Directors

During the year, ten (10) meetings of the Board of Directors of the Company were held. The meetings were held on 23rd April 2021, 10th June 2021, 15th July 2021, 29th July 2021, 22nd November 2021, 24th January 2022, 27th January 2022, 7th February 2022, 21st February 2022 and 30th March 2022. The interval between any two consecutive Board Meetings did not exceed 120 days. The attendance of the Directors at the Board meetings is mentioned below:

Sl. No.	Name of the Director	DIN	No. of Meetings attended	Date of appointment	Date of cessation
1	Tarun Sanjay Mehta	06392463	09	21-10-2013	--
2	Swapnil Babanlal Jain	06682759	09	21-10-2013	--
3	Niranjan Kumar Gupta	07806792	09	03-11-2020	--
4	Reeta Nathwani	08959036	08	23-11-2020	--

Corporate Governance

Your Company believes in high standards of ethical, moral and legal business conduct and good governance practices. It is supplemented with a whistle blower policy, a mechanism to report any concern pertaining to non-adherence to the ways of working.

Whilst the requirement of a vigil mechanism under Section 177(10) of the Companies Act, 2013 is not applicable to the Company, yet existing mechanisms in the organisation provide for a framework whereby concerns can be raised by its employees against any kind of discrimination, harassment, victimization, or any other unfair practices.

Disclosure on Employee Stock Option Scheme (ESOP)

For the year under review, the disclosures required under the Companies (Share Capital and Debentures) Rules 2014 are as under:

Particulars	Details
Options granted	9515
Options Vested	2395
Options Exercised	NA
Total number of shares arising as a result of exercise of option	NA
Options lapsed / cancelled	1553
Exercise price (INR)	1/-
Variation of terms of options	NA
Money realized by exercise of options	NA
Employee wise details of options granted to	
- key managerial personnel	110
- any other employee who receives a grant of options in any one year of option amounting to five percent or more of options granted during that year.	NA
- identified employees who were granted option, during any one year, equal to or exceeding one percent of the issued capital (excluding outstanding warrants and conversions) of the company at the time of grant	NA

Independent Directors Declaration

The Company does not have any independent directors and hence disclosure requirement under 134(3)(d) of the Companies Act, 2013 is not applicable.

Subsidiary, Joint Venture and Associate Company

The Company is an associate of Hero MotoCorp Limited. The Company does not have any subsidiary(s), joint ventures or associate companies. Hence, a separate section on the performance and financial position of each of the subsidiaries, associates and joint venture companies in Form AOC-1 under the provisions of Section 129(3) of the Companies Act, 2013 is not applicable to the Company.

Particulars of contracts or arrangements with related parties

Information on transactions with related parties pursuant to Section 134 (3) (h) of the Act read with Rule 8 (2) of the Companies (Accounts) Rules, 2014 in Form AOC-2 is annexed herewith as “Annexure – I” to this Report. Your attention is drawn to Note 36 to the financial statements which sets out related party disclosures. All the Related Party Transactions entered by the Company were in ordinary course of business and on arm’s length basis.

Disclosures under Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act 2013.

The Company has Anti-Sexual Harassment Policy in line with the requirements of the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. The Internal Complaints Committee has been set up to redress the complaints received regarding sexual harassment. All employees including contract labour, consultants, service providers etc. associated with the Company are covered in this policy. During the year under review, the Company complied with all provisions of the said Act. Following is the summary of complaints received and disposed during the year:

Number of complaints received: 2
Number of complaints disposed: 2
Number of complaints withdrawn: Nil
Number of complaints pending: Nil

Public Deposits

The Company has neither accepted nor renewed any public deposits during the year.

Particulars of Employees

Information as required pursuant to Rule 5(1) & (2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules 2014, is not applicable to the Company and hence no report is furnished hereunder.

Directors' Responsibility Statement

In accordance with the provisions of section 134(5) the Board confirms and submits the Directors' Responsibility Statement as follows:

- a) In the preparation of the annual accounts and the applicable accounting standards has been followed along with proper explanation relating to material departures;

- b) The directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the company at the end of the financial year and of the profit and loss of the company for that period;
- c) The directors have taken proper and sufficient care for the maintenance of adequate accounting records for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- d) The directors have prepared the annual accounts on a going concern basis; and
- e) The directors have devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

Remuneration Ratio of the Directors/ Key Managerial Personnel (KMP)/ Employees

Disclosure pertaining to details of the ratio of remuneration of each director to the median employee's remuneration and other details as required pursuant to Section 197(12) and Rule 5(1) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 are not applicable. Under Section 197(14) of Companies Act 2013, it is hereby informed that none of the directors are in receipt of commission from the Company.

Conservation of Energy, Technology Absorption and Foreign Exchange Earning and Outgo

The details of conservation of energy, technology absorption, and foreign exchange earnings and outgo are enclosed to this report vide ["Annexure-II"](#).

Significant and Material Orders Passed by the Regulators or Courts or Tribunals impacting the Going Concern Status of the Company.

During the year under review, there were no significant and material orders passed by the regulators or courts or tribunals impacting the going concern status of the Company.

Internal Financial Controls and Internal Audit

The Company has instituted adequate internal financial controls with reference to financial statements. During the year, the controls were tested, and no reportable material weakness was observed. The Board is satisfied with the internal finance control process. Internal control environment of the Company is reliable with well documented framework to mitigate risks.

Further, in terms of section 138 of the Companies Act, 2013, the Company had appointed M/s. JCSS & Chartered Accountants as Internal Auditors of the Company for the financial year 2022-23.

Material Changes Affecting the Financial Position of the Company

No material changes and commitments affecting the financial position of the Company have occurred since the end of the financial year till the date of this report.

Compliance with Secretarial Standards

The Company is compliant with the provisions of Secretarial Standards on Meetings of the Board of Directors (SS-1) and General Meetings (SS-2) issued by the Institute of Company Secretaries of India.

Risk Management Policy

The Company is in the process of developing and implementing a formal risk management policy which identifies major risks which may threaten the existence of the Company. However, the Board and senior management teams across the organisation continuously review from time to time and adopt risk mitigation process and measures.

Loan from Directors

The Company has not obtained any loan from any of the directors of the Company.

Industrial Relations

The Industrial relations in respect of all facilities and divisions of the Company are normal. The Company ensures relationship with the workers at cordial levels and is committed to provide necessary support for the welfare of its employees.

Corporate Social Responsibility

Corporate Social Responsibility (CSR) is a significant and foremost attitude of responsibility towards society. Our path is through sustainable measures, actively contribute to the Social, Economic and Environmental Development of the community in which we operate ensuring participation from the community and thereby create value for the nature and its inhabitants.

While the Company does not meet the criteria set out for constitution of CSR Committee and contributions based on the statutory norms required under section 135 of the Companies Act, 2013 yet, the Company has always been committed to building a sustainable ecosystem and is in the process of putting in place a composed CSR works.

Change in the Nature of Business, if any.

There has been no change in the nature of business of the Company during the year.

Audit Remarks/Observations

Pursuant to requirements of Section 134(3)(f) of the Companies Act, 2013, there are no qualification, reservation or adverse remark made by the Statutory Auditors of the Company in their report.

Statutory Auditors

Pursuant to the provisions of section 139 of the Companies Act, 2013, Deloitte Haskins & Sells, Chartered Accountants (Firm Registration 008072S) were appointed as Statutory Auditors of

the Company at the AGM of the Company held on 15th July 2021 to hold office from the conclusion of 8th annual general meeting till the conclusion of 13th annual general meeting, covering one term of five consecutive years.

Extract of Annual Return

As required under section 92(3) of the Companies Act, 2013 and rule 12(1) of the Companies (Management and Administration) Rules, 2014 an extract of annual return in Form MGT- 9 is annexed as “Annexure-I” to this Report.

Cautionary Statement

Shareholders and readers are cautioned that in the case of data and information external to the Company, no representation is made on its accuracy or comprehensiveness though the same are based on sources believed to be reliable. Utmost care has been taken to ensure that the opinions expressed by the management herein contain its perceptions, as on the date of the report, on the material impacts on the Company's operations, but it is not exhaustive as they contain forward looking statements which are extremely dynamic and increasingly fraught with risk and uncertainties. Actual results, performances, achievements or sequence of events may be materially different from the views expressed herein.

Acknowledgement

The Board expresses its sincere thanks to the various Government/Regulatory authorities, Company's valued customers, suppliers, vendors and bankers for their continued co-operation, trust and support. Further, the Board conveys its thanks to the Company's Promoters, Shareholders and other stakeholders for their continued support. The Board also expresses its gratitude and deep sense of appreciation to all the employees, for their professional commitment and dedication in furthering Company's objectives.

For and on behalf of the Board of Directors of Ather Energy Private Limited

MEHTA
TARUN
SANJAY

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MEHTA TARUN
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Date: 2022.05.02
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Tarun Sanjay Mehta
Director
DIN: 06392463

Place: Ahmedabad
Date: May 02, 2022

SWAPNIL
BABANLAL
JAIN

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JAIN
Date: 2022.05.02
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Swapnil Babanlal Jain
Director
DIN: 06682759

Place: Bangalore
Date: May 02, 2022

ANNEXURE-I**Form No.AOC-2**

[Pursuant to clause (h) of sub-section (3) of Section 134 of the Companies Act, 2013
and Rule 8(2) of the Companies (Accounts) Rules, 2014]

Form for disclosure of particulars of contracts/arrangements entered into by the company with related parties referred to in sub-section (1) of Section 188 of the Companies Act, 2013 including certain arm's length transactions under third proviso thereto.

1. Details of contracts or arrangements or transactions not at arm's length basis:

The Company has not entered into any contracts or arrangements or transactions with its related parties which is not at arm's length basis during the financial year 2021-22.

2. Details of material contracts or arrangement or transactions at arm's length basis:

Your Directors draw attention of the members to Note number 36 to the financial statements which sets out related party disclosures.

**For and on behalf of the Board of Directors of
Ather Energy Private Limited**

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Tarun Sanjay Mehta

Director

DIN: 06392463

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Swapnil Babanlal Jain

Director

DIN: 06682759

Place: Ahmedabad

Date: May 02, 2022

Place: Bangalore

Date: May 02, 2022

ANNEXURE-II

Conservation of Energy, Technology Absorption and Foreign Exchange Earnings and Outgo
Companies (Disclosure of particulars in the Report of Board of Directors) Rules, 1988.

(A) Conservation of Energy

i.	Energy conservation measures taken	Optimisation of logistics route to reduce fuel consumption by 28% and usage of bigger trucks to reduce fuel consumption for outbound logistics.
ii.	Steps taken by the company for utilizing alternate sources of energy	Nil.
iii.	The capital investment on energy conservation equipment.	Nil

(B) Technology Absorption, Adaption and Innovation.

i.	the efforts made towards technology absorption	Development of a higher energy battery platform. Development of a motor controller.
ii.	The benefits derived like product improvement, cost reduction, product development or import substitution.	A new long-range scooter is developed. Import substitution and cost reduction in Motor controller.
iii.	in case of imported technology (imported during the last three years reckoned from the beginning of the FY) - Technology imported - Year of import. - Has technology been fully absorbed? - If not fully absorbed, areas where this has not taken place, reasons there for and future plans of action	Nil.
iv.	the expenditure incurred on Research & development	Nil.

(C) Foreign exchange earnings and outgo

Amount in INR

Particulars	FY2021-22	FY2020-21
Foreign Exchange inflows	4,26,921	4,29,873
Foreign Exchange outgo	91,09,36,180	35,13,60,281

ANNEXURE-III

Form No. MGT-9 Extract of Annual Return as on the financial year ended on March 31, 2022.

[Pursuant to section 92(3) of the Companies Act, 2013 and rule 12(1) of the Companies (Management and Administration) Rules, 2014].

I. Registration and other details

(i)	CIN	U40100KA2013PTC093769
(ii)	Registration Date	21 October 2013
(iii)	Name of the Company	Ather Energy Private Limited
(iv)	Category / Sub-Category of the Company	Private Company Limited by Shares / Indian Non-Government
(v)	Address of the registered office and contact details	#4/1, 3rd Floor, Tower D, IBC Knowledge Park, Bannerghatta Main Road - 560029 rajkiran.bs@atherenergy.com Ph: +91 80- 66465757
(vi)	Whether listed company Yes / No	No
(vii)	Name, Address and Contact details of Registrar and Transfer Agent, if any	NA

II. Principal business activities of the company (All the business activities contributing 10 % or more of the total turnover of the company shall be stated).

Sl. No	Name and Description of main product / services	NIC (2008) Code of the Product / Services	% to total turnover of the Company
1.	Automobile - Manufacturing of electric scooter	2910	100%

III. Particulars of Holding, Subsidiary and Associate Companies (Including Joint Ventures)

Sl. No.	Name and Address of the Company	CIN / GNL	Percentage of shares held
	Nil		

IV. Shareholding Pattern (Equity Share Capital Breakup as Percentage of Total Equity)

i) Category-wise shareholding

Category of Shareholders	No. of Shares held at the beginning of the year [As on 01-04-2021]				No. of Shares held at the end of the year [As on 31-March-2022]				%Change during the year
	Demat	Physical	Total	% of Total Shares	Demat	Physical	Total	% of Total Shares	
A. Promoter's									
(1) Indian									
a) Individual/ HUF	--	89600	89600	81.95%	--	--	--	--	--
b) Central Govt	--	--	--	--	--	--	--	--	--
c) State Govt(s)	--	--	--	--	--	--	--	--	--
d) Bodies Corp.	--	--	--	--	--	--	--	--	--
e) Banks / FI	--	--	--	--	--	--	--	--	--
f) Any other	--	--	--	--	--	--	--	--	--
Sub-total (A)(1)	--	89600	89600	81.95%	--	--	--	--	--
(2) Foreign									
1.NRIs- Individuals	--	--	--	--	--	--	--	--	--
2.Other Individuals	--	--	--	--	--	--	--	--	--
3.Bodies Corp	--	--	--	--	--	--	--	--	--
4.Banks/FI	--	--	--	--	--	--	--	--	--
5.Any other	--	--	--	--	--	--	--	--	--
Sub-Total (A) (2)	--	--	--	--	--	--	--	--	--
Total Shareholding Of promoter's (A)=A(1)+A(2)	--	89600	89600	81.95%	--	--	--	--	--
B. Public Shareholding	--	--	--	--	--	--	--	--	--
1. Institutions									
a) Mutual Funds	--	--	--	--	--	--	--	--	--
b) Banks / FI	--	--	--	--	--	--	--	--	--
c) Central Govt	--	--	--	--	--	--	--	--	--
d) State Govt(s)	--	--	--	--	--	--	--	--	--
e) VC Funds	--	--	--	--	--	--	--	--	--
f) Ins Companies	--	--	--	--	--	--	--	--	--
g) FIIs	--	--	--	--	--	--	--	--	--
h) Foreign Venture Capital Funds	--	--	--	--	--	--	--	--	--
i) Others (specify)	--	--	--	--	--	--	--	--	--
Sub-total (B)(1):-	--	--	--	--	--	--	--	--	--

2. Non-Institutions									
a) Bodies Corp.	---	---	---	---	---	---	---	---	---
i) Indian		5260	5260	4.82	--	6358	6358	5.56	
ii) Overseas	---	100	100	0.09	--	100	100	0.09	---
b) Individuals	---	---	---	---	---	---	---	---	---
i) Individual shareholders holding nominal share capital up to Rs. 1 lakh	---	14175	14175	12.96	--	18302	18302	16.00	---
ii) Individual shareholders holding nominal share capital in excess of Rs 1 lakh	---	100	100	0.09	---	89600	89600	78.35	---
c) Others (specify)									
Non Resident Indians	---	---	---	---	---	---	---	---	---
Overseas Corporate Bodies	---	---	---	---	---	---	---	---	---
Foreign Nationals	---	---	---	---	---	---	---	---	---
Clearing Members	---	---	---	---	---	---	---	---	---
Trusts	---	---	---	---	---	---	---	---	---
Foreign Bodies - D R	---	---	---	---	---	---	---	---	---
Sub-total (B)(2):-	---	19635	19635	17.96	---	114360	114360	100	---
Total Public Shareholding (B)=(B)(1)+ (B)(2)	---	19735	19735	18.04	---	114360	114360	100	---
C. Shares held by Custodian for GDRs & ADRs	---	---	---	---	---	---	---	---	---
Grand Total (A+B+C)	--	109335	109335	100	---	114360	114360	100	---

Note: The Company has re-classified the shareholdings of promoters to the Founders. Accordingly, the founder's shareholding is mentioned in the above table sl. No. ii above during FY22. The above shareholding mentioned on fully-paid-up equity shares only.

ii) Shareholding of Promoters (Including Promoter Group)

SN	Shareholder's Name	Shareholding at the beginning of the year			Shareholding at the end of the year			% change in shareholding during the year
		No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total shares	No. of Shares	% of total Shares of the company	% of Shares Pledged / encumbered to total shares	
1	Tarun Mehta Sanjay	44800	40.98	100.00	--	--	--	--
2	Swapnil B Jain	44800	40.98	100.00	--	--	--	--

Note: The Company has re-classified the shareholdings of promoters to the Founders. Therefore, promoters shareholding is mentioned for FY22 is nil.

iii) Change in the Promoter's Shareholding:

The Company has re-classified the shareholdings of promoters to the Founders. Therefore, promoter's shareholding is mentioned for FY22 is nil.

(iv) Shareholding Pattern of top ten Shareholders (Other than Directors, Promoters & holders of ADR/GDR):

Sl. No.	Name of the Shareholder	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Arun Vinayak				
	At the Beginning of the Year	8,420	7.71	8,420	7.36
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	8,420	7.71	8,420	7.36
2	IITM Incubation Cell				
	At the Beginning of the Year	5260	4.82	5260	4.60
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	5260	4.82	5260	4.60
3	V. Srinivasan				
	At the Beginning of the Year	3530	3.23	3530	3.09
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	3530	3.23	3530	3.09
4	Asha Krishnakumar				
	At the Beginning of the Year	1320	1.21	1320	1.15
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	1320	1.21	1320	1.15
5	Achal Kothari				
	At the Beginning of the Year	660	0.60	660	0.58
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	660	0.60	660	0.58

Sl. No.	Name of the Shareholder	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
6	R. Mahadevan				
	At the Beginning of the Year	220	0.20	220	0.19
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	220	0.20	220	0.19
7	Internet Fund III Pte. Ltd.				
	At the Beginning of the Year	100	0.09	100	0.09
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	100	0.09	100	0.09
8	Hero MotoCorp Ltd				
	At the Beginning of the Year	100	0.09	100	0.09
	Increase during the year	--	--	998	0.87
	Decrease during the year	--	--	--	--
	At the end of the year	100	0.09	1098	0.96
9	Abhishek Venkataraman				
	At the Beginning of the Year	25	0.02	25	0.02
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	25	0.02	25	0.02
10	Sachin Bansal				
	At the Beginning of the Year	100	0.09	100	0.09
	Increase during the year	--	--	4027	3.52
	Decrease during the year	--	--	--	--
	At the end of the year	100	0.09	100	3.61

Note: Date wise increase/decrease in Shareholding during the year specifying the reasons for increase/decrease (e.g. allotment/transfer/bonus/sweat equity etc).

(v) Shareholding of Directors and Key Managerial Personnel

Sl. No.	Name of the Shareholder	Shareholding at the beginning of the year		Cumulative Shareholding during the year	
		No. of shares	% of total shares of the Company	No. of shares	% of total shares of the Company
1	Tarun Sanjay Mehta				
	At the Beginning of the Year	44800	40.98	44800	39.17
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	44800	40.98	44800	39.17
2	Swapnil Babanlal Jain				
	At the Beginning of the Year	44800	40.98	44800	39.17
	Increase during the year	--	--	--	--
	Decrease during the year	--	--	--	--
	At the end of the year	44800	40.98	44800	39.17

Note. The % computed only on the basis paid-up equity shares. The decrease is due to fresh issue of equity shares to other Shareholders.

V. INDEBTEDNESS

Indebtedness of the Company including interest outstanding/accrued but not due for payment:

Amount in INR Millions

	Secured Loans excluding deposits	Unsecured Loans excluding deposits	Deposits	Total Indebtedness
Indebtedness at the beginning of the FY				
Principal Amount	1717.00	-	-	1717.00
Interest due but not paid	-	-	-	-
Interest accrued but not due	13.43	-	-	13.43
Total	1730.43	-	-	1730.43
Change in Indebtedness during the FY				
Addition	2000.00	-	-	2000.00
Reduction	732.00	-	-	732.00
Change in short term loans	-	-	-	-
Net Change	1268.00	-	-	1268.00
Indebtedness at the end of the FY				
Principal Amount	2985.00	-	-	2985.00
Interest due but not paid	-	-	-	-
Interest accrued but not due	14.02	-	-	14.02
Total	2999.02	-	-	2999.02

VI. REMUNERATION OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

A. Remuneration to Managing Directors, Whole-time Directors and/or Manager – Nil

B. Remuneration to other Directors

Sl #	Particulars of Remuneration	Name of Directors	
		Tarun Mehta	Swapnil Jain
1	Gross salary		
	(a) Salary as per provisions contained in section 17(1) of the Income-tax Act, 1961	43,14,687	45,09,696
	(b) Value of perquisites u/s 17(2) Income-tax Act, 1961	3,28,872	3,72,504
	(c) Profits in lieu of salary under section 17(3) Income- tax Act, 1961	--	--
2	Stock Option	2,607	2,607
3	Sweat Equity	--	--
4	Commission - as % of profit	--	--
5	Others, please specify (including retivals)	2,40,000	21,600
	Total	48,83,559	49,03,800

C. Remuneration to Key managerial Personnel

Sl #	Particulars of Remuneration	Name of Key Managerial Personnel	
		Deepak Jain, Chief Financial Officer	Raj Kiran B S, Company Secretary
1	Gross salary		
	(a) Salary as per provisions contained in section 17(1) of the Income Tax Act, 1961	2,26,43,735	25,53,709
	(b) Value of perquisites u/s 17(2) Income Tax Act, 1961	1,04,316	14,858
	(c) Profits in lieu of salary under section 17(3) Income Tax Act, 1961	--	--
2	Stock Option	100	10
3	Sweat Equity	--	--
4	Commission - as % of profit	--	--
5	Others, please specify (including retivals)	8,54,316	1,25,472
	Total	2,36,02,367	26,94,039

VII. PENALTIES/PUNISHMENT/COMPOUNDING OF OFFENCES:

The Company had received a notice from the office of Legal Metrology (Weights and Measures) Department, Muzaffarnagar and Noida alleging use of non-standard unit of 7-inches in the News Paper Publication dated 11th July 2021 as per the provisions of Legal Metrology Act, 2009 and Rules thereunder. The same was compounded in accordance with the relevant provisions of Legal Metrology Act, 2009 and the matter had been closed.

For and on behalf of the Board of Directors of Ather Energy Private Limited

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Tarun Sanjay Mehta

Director

DIN: 06392463

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Swapnil Babanlal Jain

Director

DIN: 06682759

Place: Ahmedabad

Date: May 02, 2022

Place: Bangalore

Date: May 02, 2022

**INDEPENDENT AUDITOR'S REPORT
To The Members of Ather Energy Private Limited
Report on the Audit of the Financial Statements**

Opinion

We have audited the accompanying financial statements of Ather Energy Private Limited ("the Company"), which comprise the Balance Sheet as at March 31, 2022, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Cash Flows and the Statement of Changes in Equity for the year then ended, and a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the Indian Accounting Standards prescribed under Section 133 of the Act read with the Companies (Indian Accounting Standards) Rules, 2015, as amended, ("Ind AS") and other accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2022, and its loss, total comprehensive loss, its cash flows and the changes in equity for the year ended on that date.

Basis for Opinion

We conducted our audit of the financial statements in accordance with the Standards on Auditing specified under section 143(10) of the Act (SAs). Our responsibilities under those Standards are further described in the Auditor's Responsibility for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India (ICAI) together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAI's Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our audit opinion on the financial statements.

Emphasis of Matter

We draw attention to Note 1.2 to the financial statements with regard to the basis of preparation of the financial statements. As mentioned therein, the Company has incurred a net loss of Rs. 3,441 Million during the year ended March 31, 2022 and, as of that date, has accumulated loss of Rs. 9,629 Million. Further, the Company's current liabilities exceeded its current assets by Rs. 1,017 Million. However, the financial statements of the Company have been prepared on a going concern basis for the reasons stated in the said Note.

Our opinion is not modified in respect of this matter.

Information Other than the Financial Statements and Auditor's Report Thereon

- The Company's Board of Directors is responsible for the other information. The other information comprises the information included in the Board's report including Annexures to Board's Report, but does not include the financial statements and our auditor's report thereon.
- Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

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- In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.
- If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Management's Responsibility for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to the preparation of these financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, cash flows and changes in equity of the Company in accordance with the Ind AS and other accounting principles generally accepted in India.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibility for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

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- Obtain an understanding of internal financial control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Company has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the financial statements that, individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the financial statements.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by Section 143(3) of the Act, based on our audit we report that:
 - a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
 - c) The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, Statement of Cash Flows and Statement of Changes in Equity dealt with by this Report are in agreement with the books of account.
 - d) In our opinion, the aforesaid financial statements comply with the Indian Accounting Standards prescribed under section 133 of the Act.

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- e) On the basis of the written representations received from the directors of the Company as on March 31, 2022 taken on record by the Board of Directors, none of the directors is disqualified as on March 31, 2022 from being appointed as a director in terms of Section 164(2) of the Act.
- f) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
- g) In our opinion and to the best of our information and according to the explanations given to us, the Company being a private company, section 197 of the Act related to the managerial remuneration is not applicable.
- h) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
 - i. The Company has disclosed the impact of pending litigations on its financial position in its financial statements;
 - ii. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - iii. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - iv.
 - (a) The Management has represented that, to the best of its knowledge and belief, as disclosed in the note 46 to the financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other persons or entities, including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (b) The Management has represented, that, to the best of its knowledge and belief, as disclosed in the note 46 to the financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (c) Based on the audit procedures that has been considered reasonable and appropriate in the circumstances, nothing has come to our notice that causes us to believe that the representation given by the Management under sub-clause (i) and (ii) of Rule 11(e), as provided under (a) and (b) above, contain any material misstatement.
 - v. The Company has not declared or paid any dividend during the year and has not proposed final dividend for the year.

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2. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government in terms of Section 143(11) of the Act, we give in "Annexure B" a statement on the matters specified in paragraphs 3 and 4 of the Order.

For **DELOITTE HASKINS & SELLS**
Chartered Accountants
Firm Registration No. 008072S

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Shreedhar Ghanekar
Partner
Membership No. 210840
UDIN: **22210840AIHLUX9689**

Place: Bengaluru
Date : May 02, 2022
SMG/RK/2022

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ANNEXURE "A" TO THE INDEPENDENT AUDITOR'S REPORT

(Referred to in paragraph 1(f) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Sub-section 3 of Section 143 of the Companies Act, 2013 ("the Act")

We have audited the internal financial controls over financial reporting of Ather Energy Private Limited ("the Company") as of March 31, 2022 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's Board of Directors is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to respective company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") issued by the Institute of Chartered Accountants of India and the Standards on Auditing prescribed under Section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained, is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the

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company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at March 31, 2022, based on the criteria for internal financial control over financial reporting established by Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

For **DELOITTE HASKINS & SELLS**
Chartered Accountants
Firm Registration No. 008072S

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Shreedhar Ghanekar
Partner

Membership No. 210840
UDIN: **22210840AIHLUX9689**

Place: Bengaluru
Date: May 02, 2022
SMG/RK/2022

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ANNEXURE B TO THE INDEPENDENT AUDITOR'S REPORT (Referred to in paragraph 2 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

In terms of the information and explanations sought by us and given by the Company and the books of account and records examined by us in the normal course of audit and to the best of our knowledge and belief, we state that:

- (i)(a) (A) The Company has maintained proper records showing full particulars with respect to most of its property, plant and equipment, capital work-in-progress and relevant details of right of use assets and is in the process of updating quantitative and situation details with respect to certain property, plant and equipment in the records maintained by the Company.
 - (B) The Company has maintained proper records showing full particulars of intangible assets.
- (i)(b) Some of the Property, Plant and Equipment and Capital work-in-progress were physically verified during the year by the Management in accordance with a program of verification, which in our opinion provides for physical verification of all the Property, Plant and Equipment and capital work-in-progress at reasonable intervals having regard to the size of the Company and the nature of its activities. According to the information and explanations given to us, no material discrepancies were noticed on such verification.
- (i)(c) The Company do not have any immovable properties of freehold land. In respect of immovable properties of land and buildings that have been taken on lease and disclosed as right of use assets in the financial statements, the lease agreements are in the name of the Company, where the Company is the lessee in the agreement.
- (i)(d) The Company has not revalued any of its property, plant and equipment (including Right of Use assets) and intangible assets during the year.
- (i)(e) No proceedings have been initiated during the year or are pending against the Company as at March 31, 2022 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder.
- (ii)(a) The inventories except for goods-in-transit and stocks held with third parties, were physically verified during the year by the Management at reasonable intervals. In our opinion and based on information and explanations given to us, the coverage and procedure of such verification by the Management is appropriate having regard to the size of the Company and the nature of its operations. For stocks held with third parties at the year-end, written confirmations have been obtained and in respect of goods in transit, the goods have been significantly received subsequent to the year end. No discrepancies of 10% or more in the aggregate for each class of inventories were noticed on such physical verification of inventories/alternate procedures performed as applicable, when compared with the books of account.
- (ii)(b) The Company has been sanctioned working capital limits in excess of Rs. 5 crores, in aggregate, during the year, from banks on the basis of security of current assets. In our opinion and according to the information and explanations given to us, the quarterly returns in the nature of unaudited financial information filed by the Company with such banks are in agreement with the unaudited books of account of the Company of the respective quarters.

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- (iii) The Company has not made any investments in, provided any guarantee or security, and granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties during the year, and hence reporting under clause (iii) of the Order is not applicable.
- (iv) The Company has not granted any loans, made investments or provided guarantees or securities and hence reporting under clause (iv) of the Order is not applicable.
- (v) The Company has not accepted any deposit or amounts which are deemed to be deposits. Hence, reporting under clause (v) of the Order is not applicable.
- (vi) Having regard to the nature of the Company's business/ activities, reporting under clause (vi) of the Order is not applicable.

- (vii)(a) In respect of statutory dues:

Undisputed statutory dues, including Goods and Services tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Custom, duty of Excise, Value Added Tax, cess and other material statutory dues applicable to the Company have generally been regularly deposited by it with the appropriate authorities during the year.

There were no undisputed amounts payable in respect of Goods and Services tax, Provident Fund, Employees' State Insurance, Income-tax, Sales Tax, Service Tax, duty of Custom, duty of Excise, Value Added Tax, cess and other material statutory dues in arrears as at March 31, 2022 for a period of more than six months from the date they became payable.

- (vii)(b) Details of statutory dues referred to in sub-clause (a) above which have not been deposited as on March 31, 2022 on account of disputes are given below:

Statue	Nature of Due	Forum where dispute is pending	Period to which the amount relates	Gross Amount (Rs in mio)	Net Amount (Rs in mio)
The Customs Act, 1962	Duty of custom	Commissioner of Customs (Appeals)	FY 2017-18 to FY 2018-19	2.08	2.08
Income Tax Act, 1961	Income Tax	Assistant Commissioner of Income Tax (Appeals)	FY 2016-17	0.12*	0.12*

* represents penalty

- (viii) According to the information and explanations provided to us, there were no transactions relating to previously unrecorded income that were surrendered or disclosed as income in the tax assessments under the Income Tax Act, 1961 (43 of 1961) during the year.

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- (ix)(a) Loans amounting to Rs. 687 Million outstanding as at March 31, 2022 are repayable on demand and terms and conditions for payment of interest thereon have not been stipulated. According to the information and explanations given to us, such loans and interest thereon have not been demanded for repayment during the financial year. Considering the above, in our opinion, the Company has not defaulted in the repayment of loans or other borrowings, or in the payment of interest thereon to any lender during the year.
- (ix)(b) The Company has not been declared wilful defaulter by any bank or financial institution or government or any government authority.
- (ix)(c) To the best of our knowledge and belief, in our opinion, term loans availed by the Company were applied by the Company during the year for the purposes for which the loans were obtained.
- (ix)(d) On an overall examination of the financial statements of the Company, funds raised on short-term basis have, prima facie, not been used during the year for long-term purposes by the Company.
- (ix)(e) The Company did not have any subsidiary or associate or joint venture during the year and hence, reporting under clause (ix)(e) of the Order is not applicable.
- (ix)(f) The Company has not raised any loans during the year on pledge of securities and hence reporting on clause (ix)(f) of the Order is not applicable.
- (x)(a) The Company has not raised moneys by way of initial public offer/ further public offer (including debt instruments) during the year and hence, reporting under clause (x)(a) of the Order is not applicable.
- (x)(b) The Company has made private placement of compulsorily convertible debentures (CCD) during the year. For such allotment of CCD, the Company has complied with the requirements of Section 42 and 62 of the Companies Act, 2013, and the funds raised have been, prima facie, applied by the Company during the year for the purposes for which the funds were raised
- (xi)(a) To the best of our knowledge, no fraud by the Company and no material fraud on the Company has been noticed or reported during the year.
- (xi)(b) To the best of our knowledge, no report under sub-section (12) of section 143 of the Companies Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and upto the date of this report.
- (xi)(c) As represented to us by the Management, there were no whistle blower complaints received by the Company during the year.
- (xii) The Company is not a Nidhi Company and hence reporting under clause (xii) of the Order is not applicable.
- (xiii) In our opinion, the Company is in compliance with section 188 of the Companies Act for all transactions with the related parties and the details of related party transactions have been disclosed in the financial statements etc. as required by the applicable accounting standards. The Company is a private company and hence the provisions of section 177 of the Companies Act, 2013 are not applicable to the Company.
- (xiv)(a) In our opinion and based on our examination, the Company is not required to have an internal audit system as per provisions of the Companies Act 2013.

Deloitte Haskins & Sells

- (xiv) (b) The Company did not have an internal audit system for the period under audit.
- (xv) In our opinion, during the year, the Company has not entered into any non-cash transactions with its directors or persons connected with its directors and hence provisions of section 192 of the Companies Act, 2013 are not applicable to the Company.
- (xvi) The Company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934. Hence, reporting under clause (xvi)(a), (b) and (c) of the Order is not applicable.
- (xvi)(d) The Group does not have any Core Investment Company (CIC) as part of the Group as per the definition of Group contained in the Core Investment Companies (Reserve Bank) Directions, 2016 and hence the reporting under clause (xvi)(d) of the Order is not applicable.
- (xvii) The Company has incurred cash losses amounting to Rs. 2,353 Million during the financial year covered by our audit and Rs. 1,733 Million in the immediately preceding financial year.
- (xviii) There has been resignation of the statutory auditors of the Company during the year and we have taken into consideration the issues, objections or concerns raised by the outgoing auditors.
- (xix) On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report indicating that Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. Also refer the Emphasis of Matter paragraph in our audit report. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- (xx) The Company was not having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more or a net profit of rupees five crore or more during the immediately preceding financial year and hence, provisions of Section 135 of the Act are not applicable to the Company during the year. Accordingly, reporting under clause 3(xx) of the Order is not applicable for the year.

For **DELOITTE HASKINS & SELLS**
Chartered Accountants
Firm Registration No. 008072S

SHREEDHAR | Digitally signed by
MANOHAR | SHREEDHAR MANOHAR
GHANEKAR | GHANEKAR
Date: 2022.05.02
18:39:51 +05'30'

Shreedhar Ghanekar
Partner

Membership No. 210840
UDIN: **22210840AIHLUX9689**

Place: Bengaluru
Date : May 02, 2022
SMG/RK/2022

Ather Energy Private Limited				
Balance sheet as at 31 March 2022				
CIN: U40100KA2013PTC093769				
(Amounts in Rs millions)				
Particulars	Note No.	As at 31 March 2022	As at 31 March 2021	
ASSETS				
NON-CURRENT ASSETS				
Property, Plant and Equipment	2(a)	931	800	
Capital Work-in-Progress	2(b)	4	1	
Right of Use Assets	2(c)	646	444	
Intangible Assets	2(d)	1,769	1,823	
Intangible Assets Under Development	2(e)	923	471	
Financial Assets				
(i) Other Financial Assets	3	77	516	
Other Non-current Assets	4	910	773	
TOTAL - NON CURRENT ASSETS		5,260	4,828	
CURRENT ASSETS				
Inventories	5	607	567	
Financial Assets				
(i) Investments	6	373	924	
(ii) Trade receivables	7	10	-	
(iii) Cash and Cash Equivalents	8	574	53	
(iv) Other balances with banks	9	313	500	
(v) Others	10	13	65	
Current Tax Assets	11	9	2	
Other Current Assets	12	1,027	474	
TOTAL - CURRENT ASSETS		2,926	2,585	
TOTAL ASSETS		8,186	7,413	
EQUITY AND LIABILITIES				
EQUITY				
Equity Share Capital	13	0	0	
Compulsorily Convertible Preference Shares	13	4	4	
Compulsorily Convertible Debentures	13	3	-	
Other Equity	14	2,242	3,758	
TOTAL - EQUITY		2,249	3,762	
LIABILITIES				
NON-CURRENT LIABILITIES				
Financial Liabilities				
(i) Borrowings	15	1,088	1,108	
(ii) Lease liabilities	16	597	375	
Provisions	17	290	124	
Other non-current liabilities	18	19	6	
TOTAL - NON CURRENT LIABILITIES		1,994	1,613	
CURRENT LIABILITIES				
Financial Liabilities				
(i) Borrowings	15	1,897	609	
(ii) Lease liabilities	19	68	97	
(iii) Trade Payables	20			
(A) Total outstanding dues of micro enterprises and small enterprises		95	25	
(B) Total outstanding dues of creditors other than micro and small enterprises.		1,121	651	
(iv) Other Financial Liabilities	21	533	444	
Provisions	22	105	44	
Other current liabilities	23	124	168	
TOTAL CURRENT LIABILITIES		3,943	2,038	
TOTAL EQUITY AND LIABILITIES		8,186	7,413	
Significant accounting policies	1			
Accompanying notes form an integral part of the financial statements				
In terms of our report attached		For and on behalf of Board of Directors of Ather Energy Private Limited		
For Deloitte Haskins & Sells				
Chartered Accountants				
SHREEDHAR MANOHAR GHANEKAR Digitally signed by SHREEDHAR MANOHAR GHANEKAR Date: 2022.05.02 18:24:26 +05'30'		MEHTA TARUN SANJAY Digitally signed by MEHTA TARUN SANJAY Date: 2022.05.02 17:24:42 +05'30'	SWAPNIL BABANLAL JAIN L JAIN Digitally signed by SWAPNIL BABANLAL JAIN Date: 2022.05.02 17:50:52 +05'30'	DEEPA K JAIN Digitally signed by DEEPAK JAIN Date: 2022.05.02 17:20:02 +05'30'
Shreedhar Ghanekar Partner		Tarun Sanjay Mehta Director DIN: 6392463	Swapnil Babanlal Jain Director DIN: 6682759	Deepak Jain Chief Financial Officer
Date: 2 May 2022 Place: Bangalore		Date: 2 May 2022 Place: Ahmedabad	Date: 2 May 2022 Place: Bangalore	Raj Kiran BS Company Secretary Date: 2 May 2022 Place: Bangalore

Ather Energy Private Limited
Statement of Profit and Loss for the year ended 31 March 2022
CIN: U40100KA2013PTC093769
(Amounts in Rs millions)

Particulars	Note No.	For the year ended 31 March 2022	For the year ended 31 March 2021
I Revenue from operations	24	4,085	798
II Other Income	25	54	85
III Total Income (I + II)		4,139	883
IV EXPENSES			
(1) Cost of Material Consumed	26	3,773	1,022
(2) Changes in inventories of work-in-progress & finished goods	27	143	(105)
(3) Employee benefits expense	28	1,148	657
(4) Finance costs	29	398	276
(5) Depreciation and amortisation expense	30	484	351
(6) Other expenses	31	1,634	1,015
Total Expenses (IV)		7,580	3,216
V Profit/(Loss) before tax (III - IV)		(3,441)	(2,333)
VI Tax Expense			
(1) Current tax	41	-	-
(2) Deferred tax	41	-	-
Total tax expense		-	-
VII Profit/(Loss) for the year (V - VI)		(3,441)	(2,333)
VIII Other comprehensive income/(loss)			
A (i) Items that will not be reclassified to profit or loss		(5)	9
(ii) Income tax relating to items that will not be reclassified to profit or loss		-	-
B (i) Items that will be reclassified to profit or loss		-	-
(ii) Income tax relating to items that will be reclassified to profit or loss		-	-
IX Total comprehensive income/(loss) for the period (VII+VIII)		(3,446)	(2,324)
X Earnings per equity share: (Rs. per share)			
(1) Basic	40	(7,154)	(5,594)
(2) Diluted		(7,154)	(5,594)
Significant accounting policies	1		
Accompanying notes form an integral part of the financial statements			

**In terms of our report attached
For Deloitte Haskins & Sells
Chartered Accountants**

For and on behalf of Board of Directors of Ather Energy Private Limited

SHREEDHAR
MANOHAR
GHANEKAR

**Shreedhar Ghanekar
Partner**

Date: 2 May 2022
Place: Bangalore

MEHTA
TARUN
SANJAY

**Tarun Sanjay Mehta
Director
DIN: 6392463**

Date: 2 May 2022
Place: Ahmedabad

SWAPNIL
BABANLAL
JAIN

**Swapnil Babanlal Jain
Director
DIN: 6682759**

Date: 2 May 2022
Place: Bangalore

DEEPAK
JAIN

**Deepak Jain
Chief Financial Officer**

Date: 2 May 2022
Place: Bangalore

Raj
Kiran B
S

**Raj Kiran BS
Company Secretary**

Date: 2 May 2022
Place: Bangalore

Ather Energy Private Limited		
Statement of Cash Flows for the year ended 31 March 2022		
CIN: U40100KA2013PTC093769		
(Amounts in Rs millions)		
Particulars	For the year ended 31 March 2022	For the year ended 31 March 2021
A. Cash flows from operating activities		
Profit before tax for the year	(3,441)	(2,333)
Adjustments for:		
Fair valuation of investments	-	6
Interest Income	(18)	(33)
Provision for warranty cost	211	32
Assets written off / scrapped / loss on sale of assets	18	19
Finance costs	394	276
Gain on redemption of mutual funds	(20)	(27)
Loss on fair value measurement of financial liabilities	137	157
Depreciation and amortisation of non-current assets	484	351
Interest on unwinding of discount	(4)	(3)
Unrealized foreign exchange gain / loss	2	2
Allowance for doubtful advance	47	-
Share based payment expense	195	143
	(1,995)	(1,410)
Movements in working capital:		
(Increase)/decrease in other assets and loans & advances	(831)	(670)
(Decrease)/increase in other liabilities and provisions	571	676
Cash generated from / (used in) operations	(2,255)	(1,404)
Income taxes paid	(7)	-
Net cash generated by / (used in) operating activities	(2,262)	(1,404)
B. Cash flows from investing activities		
Interest & dividend received	30	33
Investments in FDs	(3,603)	(954)
Redemption of FDs	4,229	425
Investments in mutual funds	-	(61)
Payments for property, plant and equipment	(712)	(870)
Net cash (used in)/generated by investing activities	(56)	(1,427)
C. Cash flows from financing activities		
Proceeds from issue of CCPS and equity shares	0	3,439
Proceeds from issue of CCDs	1,500	-
Principal payment of lease liability	(152)	(100)
Proceeds from borrowings	2,000	270
Repayment of borrowings	(732)	(368)
Finance cost	(341)	(276)
Net cash generated by financing activities	2,275	2,965
Net increase / (decrease) in cash and cash equivalents	(43)	134
Cash and cash equivalents at the beginning of the year	53	213
Liquid mutual funds	564	270
Cash and cash equivalents at the end of the year	574	617
Reconciliation of cash and cash equivalents (refer note 8)		
Cash and bank balances	574	53
Liquid mutual funds	-	564
Total	574	617
Notes		
1. The above Statement of Cash Flows has been prepared under Ind AS 7 'Cash Flow Statement' under indirect method.		
2. Refer note 2(C) and note 15 for supplementary information on cash flow statement		
Accompanying notes form an integral part of the financial statements		
In terms of our report attached		
For Deloitte Haskins & Sells		
Chartered Accountants		
For and on behalf of Board of Directors of Ather Energy Private Limited		
SHREEDHAR MANOHAR GHANEKAR	MEHTA TARUN SANJAY	SWAPNIL BABANLA L JAIN
Digitally signed by SHREEDHAR MANOHAR GHANEKAR Date: 2022.05.02 18:27:38 +05'30'	Digitally signed by MEHTA TARUN SANJAY Date: 2022.05.02 17:25:50 +05'30'	Digitally signed by SWAPNIL BABANLAL JAIN Date: 2022.05.02 17:51:51 +05'30'
Shreedhar Ghanekar	Tarun Sanjay Mehta	Swapnil Babanlal Jain
Partner	Director	Director
	DIN: 6392463	DIN: 6682759
Date: 2 May 2022	Date: 2 May 2022	Date: 2 May 2022
Place: Bangalore	Place: Ahmedabad	Place: Bangalore
		DEEPAK JAIN
		Digitally signed by DEEPAK JAIN Date: 2022.05.02 17:20:53 +05'30'
		Deepak Jain
		Chief Financial Officer
		Date: 2 May 2022
		Place: Bangalore
		Raj Kiran B S
		Digitally signed by Raj Kiran B S Date: 2022.05.02 17:56:07 +05'30'
		Raj Kiran BS
		Company Secretary
		Date: 2 May 2022
		Place: Bangalore

Ather Energy Private Limited Statement of Changes in Equity for the year ended 31 March 2022 CIN: U40100KA2013PTC093769						
Particulars	Equity Shares of Re. 1 each		Equity Shares of Rs. 37 each		Total	
	No. of Shares	Amount in Rs. Millions	No. of Shares	Amount in Rs. Millions		
As at 31 March 2020	1,05,805	0	3,530	0		
Changes in equity share capital during the year	-	-	-	-		
As at 31 March 2021	1,05,805	0	3,530	0		
Changes in equity share capital during the year	5,025	0	-	-		
As at 31 March 2022	1,10,830	0	3,530	0		
B. Other equity <i>(Amount in Rs. millions)</i>						
Particulars	Reserves and Surplus			Items of Other Comprehensive Income	Total	
	Surplus / (Deficit) in Statement of Profit and Loss	Securities Premium	ESOP Outstanding Account			
Opening balance as on 01 April 2020	(3,855)	6,340	27	(12)	2,500	
Profit / (Loss) for the year	(2,333)	-	-	-	(2,333)	
Add: Compulsorily Convertible Preference Shares issued during the year	-	3,439	-	-	3,439	
Add: Equity shares issued during the period	-	-	-	-	-	
ESOPs issued during the year	-	-	143	-	143	
Other comprehensive income / (loss)	-	-	-	9	9	
As at 31 March 2021	(6,188)	9,779	170	(3)	3,758	
Profit / (loss) for the year	(3,441)	-	-	-	(3,441)	
Add: Compulsorily Convertible Debentures issued during the year	-	1,497	-	-	1,497	
Add: Equity shares issued during the year	-	246	-	-	246	
ESOPs issued during the year	-	-	187	-	187	
Other Comprehensive income / (loss)	-	-	-	(5)	(5)	
As at 31 March 2022	(9,629)	11,522	357	(8)	2,242	
Accompanying notes form an integral part of the financial statements						
In terms of our report attached						
For and on behalf of Board of Directors of Ather Energy Private Limited						
For Deloitte Haskins & Sells						
Chartered Accountants						
SHREEDHAR MANOHAR GHANEKAR	Digitally signed by SHREEDHAR MANOHAR GHANEKAR DN: cn=SHREEDHAR MANOHAR GHANEKAR, o=Deloitte Haskins & Sells, ou=India, email=shreedhar.manohar.ghanekar@deloitte.com, c=IN	SWAPNIL BABANILA L JAIN	Digitally signed by SWAPNIL BABANILA L JAIN DN: cn=SWAPNIL BABANILA L JAIN, o=Deloitte Haskins & Sells, ou=India, email=swapnil.babanila.l.jain@deloitte.com, c=IN	DEEPAK JAIN	Digitally signed by DEEPAK JAIN DN: cn=DEEPAK JAIN, o=Deloitte Haskins & Sells, ou=India, email=deepak.jain@deloitte.com, c=IN	Raj Kiran BS Company Secretary
Shreedhar Ghanekar Partner		Swapnil Babanila Jain Director DIN: 6392463		Deepak Jain Chief Financial Officer		
Date: 2 May 2022 Place: Bangalore		Date: 2 May 2022 Place: Bangalore		Date: 2 May 2022 Place: Bangalore		Date: 2 May 2022 Place: Bangalore

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

1.1 Corporate Information

Ather Energy Private Limited (CIN: U40100KA2013PTC093769) is a Private Limited Company ('Company') with its registered office in the State of Karnataka. The Company is in the business of manufacturing of electric scooters and related research & development. The Company's registered office and principal place of business is IBC Knowledge Park, Bannerghatta Road, Bangalore. The Company has its manufacturing facility in Hosur.

1.2 Basis of Preparation

The financial statements of the Company is prepared in accordance with Indian Accounting Standards (Ind AS) notified under the Companies (Indian Accounting Standards) Rules, 2015 and other relevant provisions of the Act.

The financial statements have been prepared on a historical cost basis, except for the following assets and liabilities which have been measured at fair value:

- Investments,
- Certain financial assets and liabilities measured at amortised cost (refer accounting policy regarding financial instruments).
- Share Based payments

The financial statements are presented in INR - Indian Rupees (in millions) / Rs. (mil)., except when otherwise indicated. The number '0' in financial statements denotes number less than 0.5 million. These financial statements have been approved by the Board on 2 May 2022.

Going Concern:

The Company has incurred a loss of Rs. 3,441 million for the year ended March 31, 2022 and has accumulated losses of Rs. 9,629 million as at March 31, 2022. Further, as at March 31, 2022, the current liabilities exceeded current assets by Rs. 1,017 million. In addition to meeting its current obligations, the Company also requires a substantial amount of funds to continue its day-to-day operations and ongoing development activities. The Company has also not been able to comply with the terms of loan agreements in a few instances which were primarily related to the timing of equity fund raise and maintenance of adequate cash balances on stipulated dates. However, the lenders have taken cognizance of the loan servicing history, broader economic scenarios that prevailed across the financial year and not levied penalties on the Company. The Company also has adverse financial ratios (refer note 45 to the financial statements) primarily due to the losses.

The Company is in advanced stages of raising funds from a new investor aggregating USD 100 Million (~Rs.7,500 Million) post signing of the customary share subscription agreement/revised shareholders' agreement with the new and existing investors. The Management has also prepared (as approved by the Board of Directors of the Company) cash flow forecasts for the next 12 months, assuming that the additional funding referred above does not come through, which result in a net cash deficit of Rs.2,889 Million. This cash deficit would be funded as below:

- Additional funds, as committed by the existing investors in the form of either equity, compulsorily convertible debentures or compulsorily convertible preference shares, as agreed between the parties, aggregating Rs.2,700 Million in the Company in addition to Rs.1,500 Million which was invested before March 31, 2022.
- The Company also has undrawn limits of Rs.450 Million with one of the banks/investors which can be utilized.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

In addition to the above, the management has developed a comprehensive mitigation plan which includes:

1. Anticipated increase in sales due to the increase in demand for electric vehicles including various diktats of Governments around the electric vehicles usage.
2. Implementation of cost control measures.

The Management is of the opinion that with the funds expected from the new investor, the financial support from the existing investor and undrawn credit facilities available with Banks / funds, as mentioned above, would result in sufficient funds being available for the Company to meet its current financial commitments and those expected to arise in the next 12 months. Accordingly, the Company has prepared these financial statements on a going concern basis.

1.3 Summary of Significant Accounting Policies

1.3.1 Presentation and Disclosure of Financial Statements

An asset is classified as current when it satisfies any of the following criteria;

- a) It is expected to be realized in, or is intended for sale or consumption in, the Company's normal operating cycle;
- b) It is held primarily for the purpose of being traded;
- c) It is expected to be realized within twelve months after the reporting date; or
- d) It is cash or cash equivalent unless it is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting date.

A liability is classified as current when it satisfies any of the following criteria;

- a) It is expected to be settled in the Company's normal operating cycle;
- b) It is held primarily for the purpose of being traded;
- c) It is due to be settled within twelve months after the reporting date; or
- d) The Company does not have an unconditional right to defer settlements of the liability for at least twelve months after the reporting date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

All other assets and liabilities are classified as non-current.

The Company has determined its operating cycle as twelve months for the above purpose of classification as current and non-current.

1.3.2 Fair Value Measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- a) In the principal market for the asset or liability, or
- b) In the absence of a principal market, in the most advantageous market for the asset or liability
- c) The principal or the most advantageous market must be accessible by the Company.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- a) Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- b) Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- c) Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For recurring and non-recurring fair value measurements categorised within Level 3 of the fair value hierarchy, mention a description of the valuation processes used by the entity (including, for example, how an entity decides its valuation policies and procedures and analyses changes in fair value measurements from period to period).

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

1.3.3 Use of estimates and judgements

The preparation of financial statements in conformity with Ind AS requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on a periodic basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected. Information about significant areas of estimation, uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the financial statements is included in the following notes:

a. Recoverability of intangible asset and intangible assets under development

Capitalisation of cost in intangible assets and intangible assets under development is based on management's judgement that technological and economic feasibility is confirmed and asset under development will generate economic benefits in future. Based on evaluations carried out, the

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

Company's management has determined that there are no factors which indicates that these assets have suffered any impairment loss.

b. Defined benefit plans

The cost of the defined benefit plan and other post-employment benefits and the present value of such obligation are determined using actuarial valuations. An actuarial valuation involves making various assumptions that may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date.

c. Provision and contingent liability

On an ongoing basis, Company reviews pending cases, claims by third parties and other contingencies. For contingent losses that are considered probable, an estimated loss is recorded as an accrual in the financial statements. Contingent loss that are considered possible are not provided for but disclosed as Contingent liabilities in the financial statements. Contingencies the likelihood of which is remote are not disclosed in the financial statements. Contingent gains are not recognized until the contingency has been resolved and amounts are received or receivable.

d. Useful lives of depreciable assets

Management reviews the useful lives of depreciable assets at each reporting date. As at 31 March 2022 management assessed that the useful lives represent the expected utility of the assets to the Company. Further, there is no significant change in the useful lives as compared to previous year.

The Company believes that "unit of production" method for amortization is appropriate for amortising the Company's internally generated intangible assets. The Company has estimated total production units of 325,000 over which these intangible assets would be amortised

e. Provision for warranty

Provisions for warranty-related costs are recognized when the products are sold, or services provided. Provision is estimated based on historical experience and/or technical estimates. The estimate of such warranty-related costs is reviewed annually.

f. Inventory

Due allowance is made for slow/non-moving / obsolete items. Materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be used are expected to be sold at or above cost.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.

g. Litigations

The Company is a party to certain tax and other disputes with government authorities. Due to the uncertainty associated with such cases, it is possible that, on conclusion of such matters at a future date, the final outcome may differ significantly.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

1.3.4 Cash and Cash Equivalents

Cash comprises cash on hand and demand deposits with banks. Cash equivalents are short-term (with an original maturity of three months or less from the date of acquisition), highly liquid investments that are readily convertible into known amounts of cash and which are subject to insignificant risk of change in value. Any cash or bank balance held for any specific use is not considered as cash and cash equivalent.

1.3.5 Cash Flow Statement

Cash flows are reported using the indirect method, whereby profit / (loss) before tax is adjusted for the effects of transactions of non-cash nature and any deferrals or accruals of past or future cash receipts or payments. The cash flows from operating, investing and financing activities of the Company are segregated based on the available information.

1.3.6 Intangible Assets

Intangible Assets acquired separately: Intangible assets with finite useful lives that are acquired separately are carried at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised on a straight-line basis over their estimated useful lives. The estimated useful life and amortisation method are reviewed at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis. Intangible assets with indefinite useful lives that are acquired separately are carried at cost less accumulated impairment losses.

Internally-generated intangible assets – research and development expenditure.

Expenditure on research activities is recognised as an expense in the period in which it is incurred.

An internally generated intangible asset arising from development (or from the development phase of an internal project) is recognised if, and only if, all the following have been demonstrated:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale;
- The intention to complete the intangible asset and use or sell it;
- The ability to use or sell the intangible asset;
- How the intangible asset will generate probable future economic benefits;
- The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset; and
- The ability to measure reliably the expenditure attributable to the intangible asset during its development.

The amount initially recognised for internally generated intangible assets is the sum of the expenditure incurred from the date when the intangible asset first meets the recognition criteria listed above. Where no internally generated intangible asset can be recognised, development expenditure is recognised in Statement of Profit and Loss in the period in which it is incurred.

Subsequent to initial recognition, internally generated intangible assets are reported at cost less accumulated amortisation and accumulated impairment losses, on the same basis as intangible assets that are acquired separately.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in profit or loss when the asset is derecognised.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

Useful lives of other intangible assets :

Intangible assets, comprising of software, expenditure on Model fee, etc. incurred are amortised over the period of licensing. Intangible assets, comprising of intellectual property rights viz., Patents, etc., are amortised over the life of the right to use, as per the respective statute.

1.3.7 Property, Plant and Equipment (PPE)

Property, plant and equipment are stated at historical cost less accumulated depreciation and impairment losses, if any. Cost includes purchase price, related taxes, duties, freight, insurance, etc. attributable to the acquisition, installation of the PPE and borrowing cost if capitalisation criteria are met but excludes duties and taxes that are recoverable from tax authorities.

Machinery spares which can be used only in connection with an item of PPE and whose use is expected to be irregular are capitalised and depreciated over the useful life of the principal item of the relevant assets. Subsequent expenditure relating to PPE is capitalised only if it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably

Material replacement cost is capitalized provided it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. When replacement cost is eligible for capitalization, the carrying amount of those parts that are replaced are derecognized. When significant parts of plant and equipment are required to be replaced at intervals, the Company depreciates them separately based on their specific useful life.

Property, plant and equipment retired from active use and held for sale are stated at the lower of their net book value and net realisable value and are disclosed separately in the Balance Sheet.

The Company identifies and determines cost of each component/part of the asset separately, if the component/part has a cost which is significant to the total cost of the asset and has useful life that is materially different from that of the remaining asset.

Capital Work-in-Progress / Intangible Assets Under Development (IAD): Projects under which assets are not ready for their intended use and other capital work-in-progress / IAD are carried at cost, comprising direct cost and attributable interest. Once it has become available for use, their cost is reclassified to appropriate caption and subjected to depreciation / amortisation.

1.3.8 Depreciation and Amortisation

Depreciation has been provided on the straight-line method based on the useful life as prescribed in Schedule II to the Companies Act, 2013 except in respect of the following categories of assets:

Description of Assets	Useful life and Basis of Depreciation/ Amortisation
a) Plant and Machinery, other than (d) below	4 – 8 Years
b) Vehicles - Motor Vehicles	4 Years
c) Jigs, Tools and Fixtures	8 Years
d) Leasehold Improvements	Over the primary lease period

The Assets mentioned above are depreciated based on the Company's estimate of their useful lives taking into consideration technical factors such as product life cycle, durability based on use, etc.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

Finance lease assets are depreciated over the primary lease period as the right to use these assets ceases on expiry of the lease period.

Any assets costing Rs. 5,000 or below, is fully depreciated in the year of acquisition.

Depreciation is provided pro-rata from the month of Capitalisation.

1.3.9 Impairment of Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, the Company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU) net selling price and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or groups of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining net selling price, recent market transactions are taken into account, if available. If no such transactions can be identified, an appropriate valuation model is used.

The Company bases its impairment calculation on detailed budgets and forecast calculations which are prepared separately for each of the Company's cash-generating units to which the individual assets are allocated. These budgets and forecast calculations are generally covering a period of five years. For longer periods, a long-term growth rate is calculated and applied to project future cash flows after the fifth year.

Impairment including impairment on inventories, are recognized in the Statement of Profit and Loss.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Company estimates the asset's or cash-generating unit's recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognized. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, nor exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the Statement of Profit and Loss unless the asset is carried at a revalued amount, in which case the reversal is treated as a revaluation increase.

After impairment, depreciation is provided on the revised carrying amount of the asset over its remaining useful life.

1.3.10 Inventories

Raw materials, components and stores & spare parts are valued at lower of cost determined on weighted average basis and estimated net realisable value. Cost includes purchase price, freight, taxes and duties and is net of credit under GST, where applicable.

Work-in-progress and finished goods are valued at lower of cost and estimated net realisable value. Cost includes all direct costs including material procurement cost and appropriate proportion of overheads to bring the goods to the present location and condition.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

Due allowance is made for slow/non-moving / obsolete items. Materials and other items held for use in the production of inventories are not written down below cost if the finished products in which they will be used are expected to be sold at or above cost.

Net realizable value is the estimated selling price in the ordinary course of business, less estimated costs of completion and estimated costs necessary to make the sale.

1.3.11 Revenue and Other Income

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties including Goods and Service Tax and any other government subsidies. The Company recognises revenue when it transfers control over a product / service to a customer which coincides with the delivery of the vehicle/rendering of service. The Company also provides various services to its customers, as an additional feature to the main product, the price of which is included in the total consideration payable by the customer. The Company carves out the price of the service and recognises it as a separate line of revenue over the period of service rendered. Till such time, the amount of consideration received attributable to this service is treated as deferred income.

Subscription income is recognised over the period of service rendered.

Sales related warranties cannot be purchased separately and they serve as an assurance that the products sold comply with agreed-on procedures. The Company accounts for warranties in accordance with Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets'.

A receivable is recognised by the Company when the goods are delivered to the customer as this represents the point in time at which the right to consideration becomes unconditional, as only the passage of time is required before payment due.

Interest income is recognised on the accrual basis.

Dividend income is accounted for when the right to receive it is established.

For all debt instruments measured at amortised cost, interest income is recognised on time proportion basis, taking into account the amount outstanding and effective interest rate.

1.3.12 Government Grants, Subsidies and Export Benefits

Government grants and subsidies are recognised when there is reasonable assurance that the Company will comply with the conditions attached to them and the grants/subsidy will be received.

When the grant or subsidy from the Government relates to an expense item, it is recognised as income on a systematic basis in the Statement of Profit and Loss over the period necessary to match them with the related costs, which they are intended to compensate.

When the Company receives grants of non-monetary assets, the asset and the grant are recorded at fair value amounts and released to profit or loss over the expected useful life in a pattern of consumption of the benefit of the underlying asset, i.e. by equal annual instalments. When loans or similar assistance are provided by governments or related institutions, with an interest rate below the current applicable market rate, the effect of this favourable interest is regarded as a government grant. The loan or assistance is initially recognised and measured at fair value of the proceeds received. The loan is subsequently measured as per the accounting policy applicable to financial liabilities.

1. NOTES TO FINANCIAL STATEMENTS

1.3.13 Employee Benefits

I. Defined Contribution Plan

a. Provident Fund

Contributions in respect of Employees Provident Fund are made to the Regional Provident Fund. These Contributions are recognised as expense in the year in which the services are rendered. The Company has no obligation other than the contribution payable to the Regional Provident fund.

b. Employee State Insurance

Contributions to Employees State Insurance Scheme are recognised as expense in the year in which the services are rendered.

II. Defined Benefit Plan

a. Gratuity

The Company accounts its liability for future gratuity benefits based on actuarial valuation done by an independent actuary, as at the Balance Sheet date, determined every year using the Projected Unit Credit method. Actuarial gains/losses are immediately recognised in retained earnings through Other Comprehensive Income in the period in which they occur. Re-measurements are not re-classified to profit or loss in subsequent periods. Past service cost is recognised immediately to the extent that the benefits are already vested and otherwise is amortised on a straight-line basis over the average period until the benefits become vested. The defined benefit obligation recognised in the balance sheet represents the present value of the Defined Benefit Obligation less the Fair Value of Plan Assets out of which the obligations are expected to be settled and adjusted for unrecognised past service cost, if any. Any asset arising out of this calculation is limited to the past service cost plus the present value of available refunds and reduction in future contributions.

- b. **Compensated Absences:** Accumulated leave (earned leave) can be availed and encashed on termination of employment, subject to terms and conditions of the scheme, the liability is recognised on the basis of an independent actuarial valuation. They are therefore measured as the present value of expected future payments to be made in respect of services provided by employees up to the end of the reporting period using the projected unit credit method. The benefits are discounted using the market yields at the end of the reporting period that have terms approximating to the terms of the related obligation. Re-measurements as a result of experience adjustments and changes in actuarial assumptions are recognised in Statement of Profit and Loss.

III. Short Term Employee Benefits

Short term employee benefits include short term compensated absences which is recognized based on the eligible leave at credit on the Balance Sheet date, and the estimated cost is based on the terms of the employment contract.

1.3.14 Leases

As a lessee The Company recognises a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle

1. NOTES TO FINANCIAL STATEMENTS

and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received. The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the earlier of the end of the useful life of the right-of-use asset or the end of the lease term. The estimated useful lives of right-of-use assets are determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain re-measurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, company's incremental borrowing rate. Generally, the company uses its incremental borrowing rate as the discount rate.

Lease payments included in the measurement of the lease liability comprise the following: – Fixed payments, including in-substance fixed payments; – Variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date; – Amounts expected to be payable under a residual value guarantee; and – The exercise price under a purchase option that the Company is reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the company is reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. The company presents right-of-use assets that do not meet the definition of investment property in 'property, plant and equipment' and lease liabilities in 'loans and borrowings' in the Balance Sheet.

Short-term leases and leases of low-value assets The Company has elected not to recognise right-of-use assets and lease liabilities for short-term leases of real estate properties that have a lease term of 12 months. The Company recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

1.3.15 Foreign Currency Transactions

Initial recognition

Transactions in foreign currencies entered by the Company are accounted at the exchange rates prevailing on the date of the transaction.

Measurement as at Balance Sheet date

Foreign currency monetary items of the Company outstanding at the Balance Sheet date are restated at year end exchange rates.

Non-monetary items carried at historical cost are translated using the exchange rates at the dates of initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

Treatment of Exchange Differences

Exchange differences arising on settlement/restatement of foreign currency monetary assets and liabilities of the Company are recognised as income or expense in the Statement of Profit and Loss.

1.3.16 Taxes on Income

Income tax expense comprises current and deferred taxes. Income tax expense is recognized in the Statement of Profit and Loss except to the extent it relates to items recognized directly in equity, in which case it is recognized in equity.

Current Tax is the amount of tax payable on the taxable income for the year and is determined in accordance with the provisions of the Income Tax Act, 1961. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date.

Current income tax relating to items recognised outside profit or loss is recognised outside profit or loss (either in other comprehensive income or in equity). Current tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Minimum Alternate Tax (MAT) when paid in accordance with the tax laws, which gives future economic benefits in the form of adjustment to future tax liability, is considered as an asset if there is convincing evidence that the Company will pay normal income tax. Accordingly, MAT is recognised as an asset in the Balance Sheet when it is probable that future economic benefit associated with it will flow to the Company. The carrying amount of MAT would be reviewed at each reporting date and the asset is written down to the extent the Company does not have convincing evidence that it will pay normal income tax during the specified period.

Deferred tax is provided using the liability method on temporary differences between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognised for all deductible temporary differences, the carry forward of unused tax credits and any unused tax losses. Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised. The carrying amount of deferred tax assets is reviewed at each reporting date and written off to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred tax items are recognised in correlation to the underlying transaction either in OCI or directly in equity.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

1. NOTES TO FINANCIAL STATEMENTS

1.3.17 Provisions and Contingencies

A provision is recognized when an enterprise has a present obligation (legal or constructive) as a result of past event; it is probable that an outflow of resources will be required to settle the obligation, in respect of which a reliable estimate can be made. Provisions are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates.

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non-occurrence of one or more uncertain future events beyond the control of the Company or a present obligation that is not recognized because it is not probable that an outflow of resources will be required to settle the obligation. The Company does not recognize a contingent liability but discloses its existence in the financial statements.

Provisions for warranty-related costs are recognized when the products are sold, or services provided. Provision is estimated based on historical experience and/or technical estimates. The estimate of such warranty-related costs is reviewed annually.

1.3.18 Borrowing Costs

Borrowing Costs include interest, amortisation of ancillary costs incurred and exchange differences arising from foreign currency borrowings to the extent they are regarded as an adjustment to the borrowing costs. Borrowing Costs, allocated to and utilised for qualifying assets, pertaining to the period from commencement of activities relating to construction / development of the qualifying asset up to the date the asset is ready for its intended use is added to the cost of the assets. Capitalisation of Borrowing Costs is suspended and charged to the Statement of Profit and Loss during extended periods when active development activity on the qualifying assets is interrupted. All other borrowing costs are expensed in the period they occur.

1.3.19 Earnings Per Share

Basic Earnings Per Share is calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period.

The weighted average number of equity shares outstanding during the period and for all periods presented is adjusted for events, such as bonus shares, other than the conversion of potential equity shares, that have changed the number of equity shares outstanding, without a corresponding change in resources. For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of shares outstanding during the period is adjusted for the effects of all dilutive potential equity shares.

1.3.20 Employees Stock Option

Stock options are granted to the employees under the stock option scheme. The costs of stock options granted to the employees (equity-settled awards) of the Company are measured at the fair value of the equity instruments granted based on an independent valuation of such instruments. For each stock option, the measurement of fair value is performed on the grant date. The grant date is the date on which the Company and the employees agree to the stock option scheme. The fair value so determined is revised only if the stock option scheme is modified in a manner that is beneficial to the employees.

Ather Energy Private Limited

1. NOTES TO FINANCIAL STATEMENTS

That cost is recognised, together with a corresponding increase in Share-Based Payment (SBP) reserves/ stock options outstanding account in equity, over the period in which the performance and/or service conditions are fulfilled in employee benefits expense. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Company's best estimate of the number of equity instruments that will ultimately vest. The Statement of Profit and Loss expense or credit for a period represents the movement in cumulative expense recognised as at the beginning and end of that period and is recognised in employee benefits expense.

The dilutive effect of outstanding options is reflected as additional share dilution in the computation of diluted earnings per share.

If the options vests in instalments (i.e. the options vest pro rata over the service period), then each instalment is treated as a separate share option grant because each instalment has a different vesting period.

The fair value of stock appreciation rights (SARs) is recognised as an employee benefit expense with a corresponding financial liability. The initial recognition of expense is at fair value of equity share on date of grant which then is fair valued as at each reporting date.

1.3.21 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

A. Financial assets

i. Initial recognition and measurement

All financial assets are recognised initially at fair value plus, in the case of financial assets not recorded at fair value through profit or loss, transaction costs that are attributable to the acquisition of the financial asset.

ii. Subsequent measurement

For purposes of subsequent measurement, financial assets are classified in two categories:

- a. Debt instruments at amortised cost
- b. Equity instruments measured at Fair Value Through Other Comprehensive Income (FVTOCI)

Debt instruments at amortised cost

A 'debt instrument' is measured at the amortised cost if both the following conditions are met:

- The asset is held within a business model whose objective is to hold assets for collecting contractual cash flows, and
- Contractual terms of the asset give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI) on the principal amount outstanding.

After initial measurement, such financial assets are subsequently measured at amortised cost using the Effective Interest Rate (EIR) method. Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included in finance income in the profit or loss. The losses arising from impairment are recognised in the profit or loss. This category generally applies to trade and other receivables.

1. NOTES TO FINANCIAL STATEMENTS

Equity investments

All equity investments in scope of Ind-AS 109 are measured at fair value. Equity instruments which are held for trading are classified as at FVTPL. For all other equity instruments, the Company decides to classify the same either as at FVTOCI or FVTPL. The Company makes such election on an instrument-by-instrument basis. The classification is made on initial recognition and is irrevocable.

If the Company decides to classify an equity instrument as at FVTOCI, then all fair value changes on the instrument, excluding dividends, are recognized in the OCI. There is no recycling of the amounts from OCI to P&L, even on sale of investment. However, the Company may transfer the cumulative gain or loss within equity.

Equity instruments included within the FVTPL category are measured at fair value with all changes recognized in the P&L.

iii. De-recognition

A financial asset (or, where applicable, a part of a financial asset or part of a Company of similar financial assets) is primarily when:

- The rights to receive cash flows from the asset have expired, or
- the Company has transferred substantially all the risks and rewards of the asset

iv. Impairment of financial assets

In accordance with Ind-AS 109, the Company applies expected credit loss (ECL) model for measurement and recognition of impairment loss on the following financial assets and credit risk exposure:

- Financial assets that are debt instruments, and are measured at amortised cost e.g., loans, debt securities, deposits, trade receivables and bank balance

The Company follows 'simplified approach' for recognition of impairment loss allowance on Trade receivables.

The application of simplified approach does not require the Company to track changes in credit risk. Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument. ECL is the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the entity expects to receive, discounted at the original EIR. When estimating the cash flows, an entity is required to consider:

- All contractual terms of the financial instrument (including prepayment, extension, call and similar options) over the expected life of the financial instrument. However, in rare cases when the expected life of the financial instrument cannot be estimated reliably, then the entity is required to use the remaining contractual term of the financial instrument
- Cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms

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1. NOTES TO FINANCIAL STATEMENTS

ECL impairment loss allowance (or reversal) recognized during the period is recognized as income/ expense in the Statement of Profit and Loss (P&L). This amount is reflected under the head 'other expenses' in the P&L. The balance sheet presentation for various financial instruments is described below:

- Financial assets measured as at amortised cost: ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the balance sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria, the group does not reduce impairment allowance from the gross carrying amount.

For assessing increase in credit risk and impairment loss, the Company combines financial instruments on the basis of shared credit risk characteristics with the objective of facilitating an analysis that is designed to enable significant increases in credit risk to be identified on a timely basis.

B. Financial liabilities

i. Initial recognition and measurement

All financial liabilities are recognised initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Company's financial liabilities include trade and other payables, loans and borrowings including bank overdrafts and derivative financial instruments.

ii. Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at fair value through profit or loss

Financial liabilities at fair value through profit or loss include derivatives, financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term. This category also includes derivative financial instruments entered by the Company that are not designated as hedging instruments in hedge relationships as defined by Ind AS 109. Separated embedded derivatives are also classified as held for trading unless they are designated as effective hedging instruments.

Gains or losses on liabilities held for trading are recognised in the profit or loss.

Financial liabilities designated upon initial recognition at fair value through profit or loss are designated as such at the initial date of recognition, and only if the criteria in Ind AS 109 are satisfied. For liabilities designated as FVTPL, fair value gains/ losses attributable to changes in own credit risks are recognized in OCI. These gains/ losses are not subsequently transferred to Statement of Profit and Loss. However, the Company may transfer the cumulative gain or loss within equity. All other changes in fair value of such liability are recognised in the Statement of Profit and Loss.

Loans and borrowings

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in profit or loss when the liabilities are derecognised as well as through the EIR amortisation process.

Amortised cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the Statement of Profit and Loss.

1. NOTES TO FINANCIAL STATEMENTS

De-recognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the de-recognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the Statement of Profit and Loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset, and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously

1.3.22 Impact of Covid-19

In assessing the recoverability of inventories, property plant and equipment, and other assets, the Company has considered internal and external information up to the date of approval of these financial statements including economic forecasts. The Company, based on current indicators of future economic conditions, expects to recover the carrying amount of these assets. The impact of the global health pandemic may be different from that estimated as at the date of approval of these financial statements. The Company will continue to monitor any material changes to future economic conditions and the consequent impact on its business, if any, and any significant impact of these changes would be recognized in the financial results as and when these material changes to economic conditions arise.

Ather Energy Private Limited
Notes to the financial statements

Note No. 2 (a)

PROPERTY, PLANT AND EQUIPMENT

(Amount in Rs. millions)

Description of Assets	Lease hold Improvements	Furniture & Fittings	Vehicles	Office Equipments	Plant & Machinery	Total
I. Gross Carrying Amount						
Balance as at 1 April 2020	169	56	2	137	634	998
Additions	37	4	-	45	178	264
Reclass (refer note 2 below)	(86)	86	-	(38)	38	-
Disposals/Transfers	(1)	-	-	(1)	(35)	(37)
Balance as at 31 March 2021	119	146	2	143	815	1,225
II. Accumulated depreciation and impairment						
Balance as at 1 April 2020	28	51	1	67	115	262
Depreciation expense for the year	17	24	-	21	112	174
Reclass (refer note 2 below)	(9)	9	-	(16)	16	-
Eliminated on disposal of assets	(1)	-	-	-	(10)	(11)
Balance as at 31 March 2021	35	84	1	72	233	425
III. Net carrying amount as of 31 March 2021 (I-II)	84	62	1	71	582	800
I. Gross Carrying Amount						
Balance as at 1 April 2021	119	146	2	143	815	1,225
Additions	29	8	-	75	224	336
Disposals	(50)	(2)	-	(1)	-	(53)
Balance as at 31 March 2022	98	152	2	217	1,039	1,508
II. Accumulated depreciation and impairment						
Balance as at 1 April 2021	35	84	1	72	233	425
Depreciation expense for the year	25	25	-	33	103	186
Eliminated on disposal of assets	(33)	(1)	-	-	-	(34)
Balance as at 31 March 2022	27	108	1	105	336	577
III. Net carrying amount as of 31 March 2022 (I-II)	71	44	1	112	703	931

Notes:

1. The above assets are owned by the company unless otherwise specified.
2. During the previous year the management has reviewed the classification of assets, basis this certain assets and accumulated depreciation thereon have been reclassified in the financial statements
3. Refer note 33 for details of property, plant and equipment pledged as security towards borrowings

Ather Energy Private Limited
Notes to the financial statements

Note No. 2 (b)

CAPITAL WORK-IN-PROGRESS *(Amount in Rs. millions)*

Description of Assets	Capital WIP
Balance as at 1 April 2020	1
Additions	-
Reclass	-
Disposals/Transfers	-
Balance as at 31 March 2021	1
Balance as at 1 April 2021	1
Additions/Adjustments	4
Reclass	-
Disposals/Adjustments	(1)
Balance as at 31 March 2022	4

Additional disclosure

CWIP Ageing schedule for 2021-22

CWIP	Amount in CWIP for a period of			Total
	Less than 1 year	1-2 years	More than 3 years	
Projects in progress	4	-	-	4
Projects temporarily suspended	-	-	-	-
Total	4	-	-	4

CWIP Ageing schedule for 2020-21

CWIP	Amount in CWIP for a period of			Total
	Less than 1 year	1-2 years	More than 3 years	
Projects in progress	1	-	-	1
Projects temporarily suspended	-	-	-	-
Total	1	-	-	1

As on the date of the balance sheet, there are no capital work-in-progress projects whose completion is overdue or has exceeded the cost, based on approved plan.

Ather Energy Private Limited
Notes to the financial statements

Note No. 2 (c)

RIGHT OF USE ASSETS

(Amount in Rs. millions)

Particulars	As at 31 March 2022	As at 31 March 2021
Right of use assets (net of depreciation)	646	444
Total Right of use assets	646	444
Finance lease liability	665	472

As Lessee

(A) Additions to right of use assets

Particulars	For the Year Ended 31 March 2022	For the Year Ended 31 March 2021
Right-of-use assets (Gross)	316	340

(B) Carrying value of right of use assets at the end of the reporting period by class (Buildings)

Particulars	As at 31 March 2022	As at 31 March 2021
Balance at the beginning of the year	444	255
Add: New lease contracts entered during the year	316	340
Less: Depreciation charge for the year	(109)	(91)
Less: Deletions	(5)	(60)
Balance at the end of the year	646	444

(C) Carrying value of lease liability at the end of the reporting period by class (Buildings)

Particulars	As at 31 March 2022	As at 31 March 2021
Balance at the beginning of the year	472	292
Add: New Lease Contracts Entered during the year	302	312
Add: Interest expense for the year	52	37
Less: Lease payments	(152)	(100)
Less: Deletions	(9)	(69)
Balance at the end of the year	665	472
Current lease liability	68	97
Non current lease liability	597	375

(D) Maturity analysis of lease liabilities

Particulars	As at 31 March 2022	As at 31 March 2021
Maturity analysis – contractual undiscounted cash flows		
Less than one year	135	143
One to five years	543	242
More than five years	426	471
Total undiscounted lease liabilities	1,104	856
Lease liabilities	665	472

(E) Amounts recognised in profit or loss

Particulars	For the Year Ended 31 March 2022	For the Year Ended 31 March 2021
Interest on lease liabilities	52	37
Depreciation	109	91
Expenses relating to short-term leases	4	4

(F) Amounts recognised in the statement of cash flows

Particulars	For the Year Ended 31 March 2022	For the Year Ended 31 March 2021
Total cash outflow for leases disclosed under financing activities	152	100

(G) Other disclosures

The Company has used practical expedient for not assessing leases under Ind AS 116 for lease term less than 12 months

Note No. 2 (d)

INTANGIBLE ASSETS							(Amount in Rs. millions)	
Description of Assets	Other Intangible Assets			Patents & Other IP Rights	Product design & Development	Total		
	Website	Software						
I. Gross Carrying Amount								
Balance as at 1 April 2020	16	58		10	1,026	1,110		
Additions	-	6		1	847	854		
Balance as at 31 March 2021	16	64		11	1,873	1,964		
II. Accumulated amortisation and impairment								
Balance as at 1 April 2020	16	43		2	9	70		
Amortisation expense for the year	-	9		-	62	71		
Balance as at 31 March 2021	16	52		2	71	141		
III. Net carrying amount as of 31 March 2021 (I-II)	-	12		9	1,802	1,823		
I. Gross Carrying Amount								
Balance as at 1 April 2021	16	64		11	1,873	1,964		
Additions	-	43		-	92	135		
Disposals	-	-		-	-	-		
Balance as at 31 March 2022	16	107		11	1,965	2,099		
II. Accumulated amortisation and impairment								
Balance as at 1 April 2021	16	52		2	71	141		
Amortisation expense for the year	-	10		1	178	189		
Eliminated on disposal of assets	-	-		-	-	-		
Balance as at 31 March 2022	16	62		3	249	330		
III. Net carrying amount as of 31 March 2022 (I-II)	-	45		8	1,716	1,769		

Note No. 2 (e)

INTANGIBLE ASSETS UNDER DEVELOPMENT			(Amount in Rs. millions)	
Description of Assets	Intangible Assets Under Development			
Balance as at 1 April 2020		784		
Additions		534		
Disposals/Transfers		(847)		
Balance as at 31 March 2021		471		
Balance as at 1 April 2021		471		
Additions		452		
Disposals		-		
Balance as at 31 March 2022		923		

Additional disclosure

(i) Intangible Assets Under Development Ageing schedule for 2021-22 (Amount in Rs. millions)

Intangible Assets Under Development	Amount in Intangible Assets Under Development for a period of			Total
	Less than 1 year	1-2 years	2-3 years	
Projects in progress				
Future generation projects	452	236	-	688
Projects temporarily suspended				
Pure (refer note 1 below)	-	181	54	235
Total	452	417	54	923

(ii) Intangible Assets Under Development Ageing schedule for 2020-21

Intangible Assets Under Development	Amount in Intangible Assets Under Development for a period of			Total
	Less than 1 year	1-2 years	2-3 years	
Projects in progress				
Future generation projects	236	-	-	236
Pure	181	54	-	235
Total	417	54	-	471

(iii) Intangible Assets Under Development Completion schedule for 2021-22

Intangible Assets Under Development	To be completed in			Total
	Less than 1 year	1-2 years	2-3 years	
Pure	235	-	-	235
Total	235	-	-	235

(iv) Intangible Assets Under Development Completion schedule for 2020-21

Intangible Assets Under Development	To be completed in			Total
	Less than 1 year	1-2 years	2-3 years	
Pure	-	235	-	235
Total	-	235	-	235

Note 1: During the year in order to channelize the Company's efforts towards reducing the BOM cost of existing models and to achieve scale in operations, the Project Pure (mass market product) was temporarily suspended and this project will be taken up during the 2022-23 for further development.

(v) Impairment testing of intangible assets including intangibles assets under development

The Company does its impairment evaluation on an annual basis and based on such evaluation as at March 31, 2022, the estimated recoverable amount of the Cash Generating Unit (CGU) exceeded its carrying amount. For the purpose of impairment testing, intangible assets (Product Design & Development) and intangible assets under development are allocated to the CGU which benefits from the intangible asset. For this, the Company as a whole is considered as CGU.

The recoverable amount of the above CGU has been determined based on 'value in use' model, where in the value of cash generating unit is determined as a sum of the net present value of the projected post tax cash flows for a period of 5 years and terminal value. The terminal value of cash generating unit is arrived at by extrapolating cash flows of latest forecasted year to perpetuity using a constant long-term growth rate.

Determination of value in use involves significant estimates and assumptions that affect the reporting CGU's expected future cash flows. The Company has performed sensitivity analysis for all key assumptions and concluded that it is unlikely to cause the carrying amount of the CGU exceed its estimated recoverable amount. The key assumptions used for the calculations were as follows:

Particulars	As at 31 March 2022
Discount rate	25.20%
Long-term growth rate	5.00%

The actuals results of operations and cash flows could be different from the estimates.

Ather Energy Private Limited						
Notes to the financial statements						
(Amount in Rs. millions)						
Note - 3 OTHER FINANCIAL ASSETS	As at 31 March 2022 Amount (Rs.)			As at 31 March 2021 Amount (Rs.)		
Investments in equity instruments (unquoted)						
Investments in equity shares of M/S Autovert Technologies Private Limited (570 (PY 570) equity shares of Rs. 10 each)			0			0
Security deposits <i>(carried at amortised cost)- unsecured (Refer Note no - 32)</i>			77			77
Term deposits*			-			439
*Lien marked against term loans, bank guarantees issued to government, letter of credit and corporate credit cards						
TOTAL			77			516
Note - 4 OTHER NON CURRENT ASSETS	As at 31 March 2022 Amount (Rs.)			As at 31 March 2021 Amount (Rs.)		
Unsecured, considered good						
Balances with Government authorities			735			600
Security deposits			55			-
Capital advances			120			173
Unsecured, considered doubtful						
Capital advances	51			34		
Less: Allowance for doubtful advance	(51)		-	(34)		-
TOTAL			910			773
Note - 5 INVENTORIES	As at 31 March 2022 Amount (Rs.)			As at 31 March 2021 Amount (Rs.)		
Raw materials & components			531			301
Raw Materials in transit			31			78
Semi-finished & work-in-process			5			4
Finished goods			40			184
TOTAL			607			567
Note: Inventory have been written down to net realisable value by Rs. 1 Million (PY Rs. 62 Millions)						
Note - 6 INVESTMENTS	As at 31 March 2022 Amount (Rs.)			As at 31 March 2021 Amount (Rs.)		
Investments carried at fair value through profit and loss						
Investments in quoted mutual funds (Refer note 32)			373			924
Investments in Commercial Paper of IL&FS Financial Services Limited	196			196		
Less: Allowance for diminution in value of investments (refer note below)	(196)		-	(196)		-
TOTAL			373			924
Note: The Company has invested in Commercial Paper (CP) of IL&FS Financial Services Limited (ILFS) with a maturity date of October 22, 2018. ILFS has defaulted on the payment on such maturity date. The Company has created provision for doubtful investment for 100% of the cost of investments on its evaluation of recoverability. The interest income on the CP has not been recognised in the Statement of Profit and Loss in the current year as well as previous year.						
Particulars of Mutual Funds	As at 31 March 2022			As at 31 March 2021		
	No. of units	Cost	Market value	No. of units	Cost	Market value
Investments in quoted securities:						
Lien Marked						
ICICI Pru Liquid Direct-Growth	2,86,966	86	90	2,86,966	86	87
IDFC Cash Regular-Growth	36,015	90	92	36,015	83	89
Axis Liquid Fund Growth	81,101	162	191	81,101	162	184
Non- Lien Marked						
ICICI Pru Liquid -Growth	-	-	-	4,29,260	130	130
ICICI Pru Money Market Direct-Growth	-	-	-	33	0	0
Nippon India Money Market Direct-Growth	-	-	-	6	0	0
Kotak Liquid Reg-Growth	-	-	-	154	1	1
Aditya Birla SL Liquid Direct-Growth	-	-	-	1,582	1	1
Aditya Birla SL Liquid-Growth	-	-	-	4,25,406	140	140
Axis Treasury Advantage-Growth	-	-	-	84,455	200	203
DSPBR Liquidity Reg-Growth	-	-	-	3,202	9	9
DSP Low Duration-Growth	-	-	-	48,84,227	75	76
IDFC Cash Regular-Growth	-	-	-	1,415	3	4
TOTAL		338	373		889	924

Ather Energy Private Limited						
Notes to the financial statements						
(Amount in Rs. millions)						
Note - 7 TRADE RECEIVABLES		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Trade Receivables considered good - Unsecured			10			-
TOTAL			10			-
Trade Receivables ageing schedule for the Year ended 31, March 2022						
Particulars	Outstanding for the following periods from transaction date					Total
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed						
- Considered good	10	-	-	-	-	10
Total	10	-	-	-	-	10
Trade Receivables ageing schedule for the Year ended 31, March 2021						
Particulars	Outstanding for the following periods from transaction date					Total
	Less than 6 months	6 months - 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed						
- Considered good	-	-	-	-	-	-
Total	-	-	-	-	-	-
Note - 8 CASH AND CASH EQUIVALENTS						
		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Balances with banks in current accounts			574			53
Cash in hand			0			0
TOTAL			574			53
Note - 9 OTHER BALANCES WITH BANKS						
		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Term deposits*			313			500
*Rs. 313 Million (PY: NIL) lien marked against term loans, bank gurantees issued to government, and corporate credit cards						
TOTAL			313			500
Note - 10 OTHER FINANCIAL ASSETS						
		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Interest accrued on fixed deposits			5			10
Other receivables						
- Sale of scrap			5			-
- Others			3			55
TOTAL			13			65
Note - 11 CURRENT TAX ASSETS						
		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Tax deduction at source receivable			9			2
TOTAL			9			2
Note - 12 OTHER CURRENT ASSETS						
		As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)		
Unsecured, considered good						
Balances with Government authorities			716			237
Prepaid expenses			106			28
Loans & advances to employees			1			2
Advance to vendors			204			207
Unsecured, considered doubtful						
Advance to vendors		37		6		
Less: Allowance for doubtful advance		(37)	-	(6)		-
TOTAL			1,027			474

Ather Energy Private Limited
Notes to the financial statements

Note - 13 SHARE CAPITAL	As at 31 March 2022		As at 31 March 2021	
	No of Shares	Amount (in Rs. Millions)	No of Shares	Amount (in Rs. Millions)
1.1 Authorised Capital				
Equity Shares of Re.1 each.	2,87,158	0.3	2,87,158	0.3
Equity shares of Rs. 37 each	3,530	0.1	3,530	0.1
Compulsorily Convertible Preference shares of Rs. 37 each	23,490	0.9	23,490	0.9
Series A Compulsorily Convertible Preference Shares of Re. 1 each	74,732	0.1	74,732	0.1
Series B Compulsorily Convertible Preference Shares of Rs. 10 each	99,826	1.0	99,826	1.0
Series B1 Compulsorily Convertible Preference Shares of Rs. 10 each	29,347	0.3	29,347	0.3
Series C Compulsorily Convertible Preference Shares of Rs. 10 each	33,563	0.3	33,563	0.3
Series C1 Compulsorily Convertible Preference Shares of Rs. 10 each	30,264	0.3	30,264	0.3
Series D Compulsorily Convertible Preference Shares of Rs. 10 each	1,00,000	1.0	1,00,000	1.0
Series E Compulsorily Convertible Preference Shares of Rs. 10 each	3,50,000	3.5	-	-
	10,31,910	7.8	6,81,910	4.3
1.2 Issued, Subscribed and Paid up Share Capital				
Equity Shares of Re.1 each.	1,10,830	0.1	1,05,805	0.1
Equity shares of Rs. 37 each	3,530	0.1	3,530	0.1
Compulsorily Convertible Preference shares of Rs. 37 each	23,490	0.9	23,490	0.9
Series A Compulsorily Convertible Preference Shares of Re. 1 each	74,732	0.1	74,732	0.1
Series B Compulsorily Convertible Preference Shares of Rs. 10 each	99,826	1.0	99,826	1.0
Series B1 Compulsorily Convertible Preference Shares of Rs. 10 each	29,347	0.3	29,347	0.3
Series C Compulsorily Convertible Preference Shares of Rs. 10 each	29,699	0.3	29,699	0.3
Series C1 Compulsorily Convertible Preference Shares of Rs. 10 each	20,688	0.2	20,688	0.2
Series D Compulsorily Convertible Preference Shares of Rs. 10 each	88,040	0.9	88,040	0.9
	4,80,182	3.9	4,75,157	3.9
1.2.1 Equity Shares of Re.1 each Fully paid up. (refer note below)				
Opening Balance	1,05,805	0.1	1,05,805	0.1
Add: Fresh issue during the year	5,025	0.0	-	-
Closing Balance	1,10,830	0.1	1,05,805	0.1
Notes: Of the above equity shares; 1. 5,260 Equity shares were issued at face value of Re. 1 on 20th October 2014 as consideration for incubation and mentoring support. These shares were issued for consideration other than Cash. 2. 220 Equity shares were issued @ fair value of Rs. 8,454.21 (Re. 1 as face value & Rs. 8,453.21 as securities premium) on 24 September 2016 for consideration other than Cash. 3. 5,025 Equity shares were issued on 21 February 2022 @ face value of Re. 1 received in cash and Rs. 48,900 as securities premium on fair valuation of right to subscribe for consideration other than Cash.				
Rights, preferences & restrictions attached to this class of share Every equity share will carry one vote. In the event of liquidation the equity share holders are eligible to receive the remaining assets of the Company after distribution of all preferential amount in proportion to their share holding.				
1.2.2 Equity Shares of Rs. 37 each				
Opening Balance	3,530	0.1	3,530	0.1
Add: Fresh issue during the year	-	-	-	-
Closing Balance	3,530	0.1	3,530	0.1
Note: 2,50,000 15% compulsorily convertible debentures of Rs. 10 each were converted into 3,530 Equity shares of Rs. 37 each at a price of Rs. 774.52 in exercise of the conversion clause of the subscription agreement on 15 May 2014.				
Rights, preferences & restrictions attached to this class of share Every Equity share will carry one vote. In the event of liquidation the equity share holders are eligible to receive the remaining assets of the company after distribution of all preferential amount in proportion to their shareholding.				
1.2.3 Compulsorily Convertible Preference shares of Rs. 37 each				
Opening Balance	23,490	0.9	23,490	0.9
Add: Fresh issue during the year	-	-	-	-
Closing Balance	23,490	0.9	23,490	0.9
Note: The above includes, 710 Compulsorily Convertible Preference shares issued on 20 October 2014 @ fair value of Rs. 2,169.617 (Rs. 37 as face value & Rs. 2,132.617 as securities premium) on conversion of loan along with accrued interest of Rs. 15,40,428.				
Rights, preferences & restrictions attached to this class of share (a) Each preference share shall get converted into one equity subject to adjustments for share splits, bonus etc. based on the subscription agreement not later than 20 years from date of issue (b) No dividend shall be payable. (c) One vote per compulsorily convertible preference shares pari passu with the equity shares. (d) Right over surplus assets on a pro-rata basis in the event of liquidation.				

Ather Energy Private Limited Notes to the financial statements				
Particulars	No of Shares	Amount (in Rs. Millions)	No of Shares	Amount (in Rs. Millions)
1.2.4 Series A Compulsorily Convertible Preference Shares of Re. 1 each (CCPS)				
Opening Balance	74,732	0.1	74,732	0.1
Add: Fresh issue during the year	-	-	-	-
Closing Balance	74,732	0.1	74,732	0.1
1.2.5 Series B Compulsorily Convertible Preference Shares of Rs. 10 each (CCPS)				
Opening Balance	99,826	1.0	99,826	1.0
Add: Fresh issue during the year	-	-	-	-
Closing Balance	99,826	1.0	99,826	1.0
1.2.6 Series B1 Compulsorily Convertible Preference Shares of Rs. 10 each (CCPS)				
Opening Balance	29,347	0.3	29,347	0.3
Add: Fresh issue on conversion of CCD during the year	-	-	-	-
Closing Balance	29,347	0.3	29,347	0.3
1.2.7 Series C Compulsorily Convertible Preference Shares of Rs. 10 each (CCPS)				
Opening Balance	29,699	0.3	29,699	0.3
Add: Fresh issue during the year	-	-	-	-
Closing Balance	29,699	0.3	29,699	0.3
1.2.8 Series C1 Compulsorily Convertible Preference Shares of Rs. 10 each (CCPS)				
Opening Balance	20,688	0.2	-	-
Add: Fresh issue during the year	-	-	20,688	0.2
Closing Balance	20,688	0.2	20,688	0.2
1.2.9 Series D Compulsorily Convertible Preference Shares of Rs. 10 each (CCPS)				
Opening Balance	88,040	0.9	-	-
Add: Fresh issue during the year	-	-	88,040	0.9
Closing Balance	88,040	0.9	88,040	0.9
Rights, preferences & restrictions attached to the above six classes of shares				
(a) Preference share holders are entitled to receive a dividend at the rate of 0.001% per annum on each preference share held by such holder, payable when, as and if declared by the Board of Directors. In the event the Company declares a dividend on the Equity Shares at a rate which is higher than the rate mentioned herein, the holders of Preference Shares shall be entitled to receive, in priority to the holders of Equity Shares, a dividend at a rate per preference share as would equal the product of (i) the higher dividend rate payable on each equity share and (ii) the number of equity shares issuable upon conversion of such preference share.				
(b) On the occurrence of a liquidation event, the preference share holders shall be entitled to receive out of the proceeds or assets of the Company available for distribution to its shareholders, on a pari passu basis and prior and in preference to any distribution of proceeds of such liquidation event to the holders of equity shares by reason of their ownership thereof, an amount per share equal to the sum of the applicable original issue price, plus declared but unpaid dividends thereon.				
(c) Preference shares will be converted to such number of equity shares, at the conversion ratio then in effect:				
- In the event the preference share holder requires Company to convert all or a part of such preference shares held by such holder; - upon the earlier of (i) the closing of an IPO, or (ii) the date, or the occurrence of an event, specified by vote or written consent or agreement of the requisite number of investors. - upon the date that is twenty (20) years after the date on which such series of Preference Shares were first issued by the Company.				
(d) Holders of preference shares shall enjoy such voting rights available to the extent permissible under law, carry voting rights as if the preference shares have been fully converted into equity shares. Each preference share shall entitle the holder to the number of votes equal to the number of whole or fractional equity shares into which such preference share could then be converted. If applicable law does not permit any holder of preference shares to exercise voting rights on all or any matters submitted to the vote of the Shareholders of the Company (including the holders of equity shares) (the "Non-Voting Preference Shares"), then until the conversion of all such Non-Voting Preference Shares into equity shares, each shareholder shall vote in accordance with the instructions of the holders of such Non-Voting Preference Shares at a general meeting of the shareholders or provide proxies without instructions to the holders of the Non-Voting Preference Shares for the purposes of a general meeting of the shareholders, in respect of such number of equity shares held by each of them such that a relevant percentage of the equity shares of the Company are voted in the manner required by the holders of the Non-Voting Preference Shares.				
1.3 Compulsorily Convertible Debentures of Rs. 100 each (CCD)	As at 31 March 2022		As at 31 March 2021	
	No of Debentures	Amount (Rs.)	No of Debentures	Amount (Rs.)
Opening Balance	-	-	-	-
Add: Fresh issue during the year	30,658	3.1	-	-
Less: Converted in to CCPS	-	-	-	-
Closing Balance	30,658	3.1	-	-
Rights, preferences & restrictions attached to this class of Compulsorily convertible debentures (CCD)				
The CCD do not have any voting rights or dividends attached to it. Interest payable is at the rate of 0.0001% on the face value of Rs. 100. The terms includes CCDs are convertible to CCPS at the end of 180 days from the date of issue or in the event of further round of funding before 180 days or occurrence of a restructuring event (whichever is earlier).				

Ather Energy Private Limited
Notes to the financial statements

1.4 Details of Shares held by Shareholders holding more than 5% of the aggregate shares in the Company

Particulars	As at 31 March 2022		As at 31 March 2021	
	No of Shares	% Holding	No of Shares	% Holding
EQUITY SHARE CAPITAL				
1.4.1 Equity Shares of Rs. 1 each				
Swapnil Babanlal Jain	44,800	40%	44,800	42%
Tarun Sanjay Mehta	44,800	40%	44,800	42%
Arun Vinayak	8,420	8%	8,420	8%
IITM Incubation Cell	5,260	5%	5,260	5%
1.4.2 Equity Shares of Rs. 37 each				
V Srinivasan	3,530	100%	3,530	100%
COMPULSORILY CONVERTIBLE PREFERENCE SHARE CAPITAL				
1.4.3 Compulsorily Convertible Preference shares of Rs. 37 each				
Sachin Bansal	10,950	47%	10,950	47%
Binny Bansal	10,950	47%	10,950	47%
1.4.4 Series A Compulsorily Convertible Preference Shares of Rs. 1 each				
Internet Fund III Pte Ltd	74,732	100%	74,732	100%
1.4.5 Series B Compulsorily Convertible Preference Shares of Rs. 10 each				
Hero Motocorp limited	99,186	99%	99,186	99%
1.4.6 Series B1 Compulsorily Convertible Preference Shares of Rs. 10 each				
Hero Motocorp limited	29,347	100%	29,347	100%
1.4.7 Series C Compulsorily Convertible Preference Shares of Rs. 10 each				
Sachin Bansal	29,699	100%	29,699	100%
1.4.8 Series C1 Compulsorily Convertible Preference Shares of Rs. 10 each				
Hero Motocorp limited	20,688	100%	20,688	100%
1.4.9 Series D Compulsorily Convertible Preference Shares of Rs. 10 each				
Hero Motocorp limited	30,475	35%	30,475	35%
Sachin Bansal	57,565	65%	57,565	65%

1.5 Details of Shares held by Promoters

	As at 31 March 2022		Percentage change during the year ended March 31, 2022
	No of Shares	% Holding	
EQUITY SHARE CAPITAL			
Nominal value of Re. 1 each			
Swapnil Babanlal Jain	44,800	40%	-2%
Tarun Mehta Sanjay	44,800	40%	-2%

Ather Energy Private Limited
Notes to the financial statements

1.6 ESOP (ESOP 2021 Plan)

Areas	Granting and Vesting terms
Exercise of options while in employment	Liquidity Events
Resignation / Termination other than due to Breach	Allowed to carry vested options till liquidity event
Retirement	Allowed to carry vested options till liquidity event
Death	Allowed to carry vested options till liquidity event
Termination due to permanent incapacity	Allowed to carry vested options till liquidity event
Any other reasons	At the discretion of the Board
Reconstruction	Inclusion of Strategic Sale (Tag along and drag along)
Lapse	Cash Settlement / Buy Back / Purchase by Investor / IPO
Lock in Period	Transfer of shares as per AOA

The activity of ESOP Plan is as Follows:

Particulars	As at 31 March 2022	As at 31 March 2021
	Shares arising out of Option	
Outstanding at the beginning	22,929	19,889
Granted/adjustment	9,515	4,190
Exercised	-	-
Cancelled	1,553	1,150
Expired	-	-
Outstanding at the end of the year	30,891	22,929
Exercisable at the end of the year	-	-

The Fair value for the above ESOP on the date of the grant using the Black Scholes Merton Model with the following assumptions:

Particulars	As at 31 March 2022	As at 31 March 2021
Weighted average share price (Rs)	20,200 to 73,824	20,200 to 73,824
Exercise Price (Rs)	1	1
Expected Volatility	50%	50%
Expected life of the Options	5- 8 years	5- 8 years
Expected Dividends (%)	0%	0%
Risk free interest rate (%)	5.42% to 6.16%	6%

(Amount in Rs. millions)

Note - 14 OTHER EQUITY	As at 31 March 2022 Amount (Rs.)	As at 31 March 2021 Amount (Rs.)
(i) Securities Premium		
Balance at the beginning of the year	9,779	6,340
Add : Received on account of issue of compulsorily convertible debentures	1,497	-
Add : Received on account of issue of compulsorily convertible preference shares	-	3,439
Add : Received on account of issue of equity shares	246	-
Balance at the end of the year		9,779
(ii) Surplus / (Deficit) in Statement of Profit and Loss		
Deficit at the beginning of the year	(6,188)	(3,855)
Add : Profit/(Loss) for the year	(3,441)	(2,333)
Deficit at the end of the year		(6,188)
(iii) Other Comprehensive Income		
Balance at the beginning of the year	(3)	(12)
Add : Other comprehensive income/(loss) for the year	(5)	9
Balance at the end of the year		(3)
(iv) ESOP Outstanding Reserve Account		
	357	170
	2,242	3,758

Nature and purpose of other reserve

(i) Securities Premium

Securities premium is used to record the premium received on issue of shares. It is utilised in accordance with the provisions of the Companies Act, 2013

(ii) Surplus / (Deficit) in Statement of Profit and Loss

Retained earnings are the profits that the Company has earned till date, less any transfers to other reserves, dividends or other distributions paid to its equity shareholders.

(iii) Other Comprehensive Income

Other items of other comprehensive income consist of fair value changes on FVTOCI financial assets and financial liabilities and remeasurement of net defined benefit liability/asset

(iv) ESOP Outstanding Reserve Account

The fair value of the equity-settled share based payment transactions with employees is recognised in statement of profit and loss with corresponding credit to employee stock options outstanding account. The amount of cost recognised is transferred to share premium on exercise of the related stock options

Ather Energy Private Limited				
Notes to the financial statements				
Note - 15 BORROWINGS		(Amount in Rs. millions)		
1. Non-current borrowings	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
(A) Term Loan - Secured (at amortised cost)				
From Banks - (Refer note 33)		186		295
From Others - (Refer note 33)		902		813
TOTAL		1,088		1,108
2. Current borrowings	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
(A) Loans repayable on demand - Secured (at amortised cost)				
From Banks - (Refer note 33)		287		-
From Others - (Refer note 33)		400		-
(B) Current Maturities of Long term debt - Secured				
From Banks - (Refer note 33)		105		83
From Others - (Refer note 33)		1,105		526
TOTAL		1,897		609
3. Net Debt Reconciliation				
Particulars	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
Opening balance		1,717		1,815
Received during the Year		2,000		270
Repayment made during the Year		(732)		(368)
Closing Balance		2,985		1,717
Additional disclosures:				
1. The Company has borrowings from banks or financial institutions on the basis of security of current assets and the statements of current assets filed by the Company with banks or financial institutions are in agreement with the books of accounts.				
2. Charges or satisfaction of charges are registered with ROC within the statutory period, there are no charges or satisfaction yet to be registered with ROC beyond the statutory period as at 31st March 2022.				
Note - 16 LEASE LIABILITIES (NON CURRENT)	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
Lease liability (Refer note 2(c))		597		375
TOTAL		597		375
Note - 17 LONG TERM PROVISIONS	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
(a) Provision for Employee benefits				
- Gratuity (Refer Note 35)	61		43	
- Compensated absences (Refer Note 35)	61	122	51	94
(b) Provision for warranty expenses (Refer note 22 (a))		153		25
(c) Provision for site-restoration expense		15		5
TOTAL		290		124
Note - 18 OTHER NON-CURRENT LIABILITIES	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
Others				
Deposits received from dealers		19		6
TOTAL		19		6
Note - 19 LEASE LIABILITIES (CURRENT)	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
Lease liability (Refer note 2(c))		68		97
TOTAL		68		97
Note - 20 TRADE PAYABLES	As at 31 March 2022		As at 31 March 2021	
	Amount (Rs.)		Amount (Rs.)	
a. Total outstanding dues of micro enterprises & small enterprises (See Note 38)		95		25
b. Total outstanding dues of enterprises other than micro enterprises & small enterprises		1,121		651
TOTAL		1,216		676

Ather Energy Private Limited	
Notes to the financial statements	

(a) Trade Payables ageing schedule for the Year ended 31, March 2022 (Amount in Rs. millions)

(a) Trade Payables ageing schedule for the Year ended 31, March 2022 (Amount in Rs. millions)

Particulars	Unbilled	Not due	Outstanding for the following periods from the due date				Total
			Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed							
- MSME	-	86	-	9	-	-	95
- Others	532	560	11	9	4	5	1,121
Total	532	646	11	18	4	5	1,216

(b) Trade Payables ageing schedule for the Year ended 31, March 2021

Particulars	Unbilled	Not due	Outstanding for the following periods from the due date				Total
			Less than 1 year	1-2 years	2-3 years	More than 3 years	
Undisputed							
- MSME	-	14	11	-	-	-	25
- Others	374	98	136	6	36	1	651
Total	374	112	147	6	36	1	676

(c) Relationship with struckoff companies

Name of struck off Company	Nature of transactions	Transactions during the year March 31, 2022	Transactions during the year March 31, 2021	Balance outstanding as at March 31, 2022	Balance outstanding as at March 31, 2021	Relationship with the Struck off company
Touch Stream Solutions Private Ltd.	Service charges	0	0	-	-	Vendor

Note - 21 OTHER FINANCIAL LIABILITIES	As at 31 March 2022		As at 31 March 2021	
		Amount (Rs.)		Amount (Rs.)
Payable to employees		208		192
Interest accrued on long term debts		14		13
Stock appreciation rights (Refer Note 32)		175		80
Right to subscribe (Refer Note 32)		49		157
Payable on purchase of Property, Plant and Equipment		86		-
Other Liabilities		1		2
TOTAL		533		444

Note:				
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(i). **Right to subscribe:** The Company has granted the right to subscribe to equity shares of the Company at a predetermined price to certain existing shareholders as per the shareholder's agreements and to certain lenders as per loan agreements.

(ii). **Stock appreciation rights:** Eligible employees and consultants are entitled to receive cash on account of appreciation in stock prices of the company, subject to fulfilment of certain vesting conditions.

The fair value of the above liabilities as at the year end are determined by actuarial valuations using Black-Scholes Model.

Note - 22 SHORT TERM PROVISIONS	As at 31 March 2022 Amount (Rs.)		As at 31 March 2021 Amount (Rs.)	
(a) Provision for Employee benefits				
- Gratuity (Refer Note 35)	5		2	
- Compensated absences (Refer Note 35)	12	17	8	10
(b) Other short term provisions				
- Provision for warranty expenses (Refer note (a) below)		88		34
TOTAL		105		44

(a) Movement of provisions	As at 31 March 2022	As at 31 March 2021
Provision for warranty		
Opening Balance	59	50
Creation of provision	211	32
Utilisation during the year	(29)	(23)
Closing balance	241	59
Current	88	34
Non Current	153	25

Note - 23 OTHER CURRENT LIABILITIES	As at 31 March 2022		As at 31 March 2021	
		Amount (Rs.)		Amount (Rs.)
Statutory dues payable (Other than Income Tax)		34		22
Deferred revenue (Refer note 42)		8		12
Advance received from customers*		82		133
Other current liabilities		-		1
TOTAL		124		168

* The Company has used practical expedient under Ind AS 115 for disclosure of remaining performance obligations.

Ather Energy Private Limited Notes to the financial statements				
(Amount in Rs. millions)				
Note - 24 REVENUE FROM OPERATIONS	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Revenue from sale of products (Refer note 42)		4,056		782
Service income		29		16
TOTAL		4,085		798
Note - 25 OTHER INCOME	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Unwinding of Interest on financial assets		4		3
Sale of scrap		4		1
Profit on sale of Investments in mutual funds		20		27
Interest on Term Deposit		18		33
Gain on investments carried at fair value through profit or loss		-		6
Other income		8		15
TOTAL		54		85
Note - 26 COST OF MATERIAL CONSUMED	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Raw Materials and components consumed:				
Opening Stock		441		248
Add: Purchases		3,894		1,215
Less: Closing Stock		562		441
COST OF MATERIAL CONSUMED		3,773		1,022
Note - 27 CHANGES IN INVENTORIES OF WORK-IN-PROGRESS & FINISHED GOODS	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Inventories at the beginning of the year				
- Finished Goods	184		83	
- Semi Finished Goods & Work in Progress	4		-	
Inventories at the end of the year				
- Finished Goods	40		184	
- Semi Finished Goods & Work in Progress	5	143	4	(105)
CHANGES IN INVENTORIES		143		(105)
Note - 28 EMPLOYEE BENEFITS EXPENSE	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Salaries & allowances	1,107		826	
Employee share based payment expenses	276		231	
Contribution to Provident Fund	38		23	
Gratuity (Refer note 35)	19		12	
Staff Welfare Expenses	55		22	
		1,495		1,114
Less : Transfer to intangible assets under development		(347)		(457)
TOTAL		1,148		657
Note - 29 FINANCE COSTS	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Interest on Term loan		331		226
Interest on lease liability		52		37
Interest on delayed payments to MSME vendors		4		3
Other borrowing cost		11		10
TOTAL		398		276
Note - 30 DEPRECIATION AND AMORTISATION EXPENSE	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Depreciation of property, plant and equipment (refer note 2(a))		186		174
Depreciation of right-of-use assets (refer note 2(c))		109		91
Amortization of other intangible assets (refer note 2(d))		189		86
TOTAL		484		351

Ather Energy Private Limited Notes to the financial statements				
(Amount in Rs. millions)				
Note - 31 OTHER EXPENSES	Year ended 31 March 2022 Amount (Rs.)		Year ended 31 March 2021 Amount (Rs.)	
Advertisement and marketing		455		315
Legal, professional and consultancy charges*		252		160
Warranty cost		211		32
Loss on fair value measurement of financial liabilities**		137		157
Web server charges		108		26
Research expenses		78		63
Software license fee		59		29
Travelling and conveyance		53		20
Rent and maintainence		45		50
Allowance for doubtful advance		47		-
Electricity charges		28		16
Recruitment / training expenses		27		2
Security charges		22		13
Repairs and maintenance		22		15
- Plant & machinery	1		1	
- Vehicles	7		4	
- Others	14		10	
Foreign exchange (gain) / loss		20		3
Insurance		16		8
Installation charges		14		9
Loss on sale of assets		-		19
Assets written off / scrapped		18		-
Rates and taxes		3		10
Payment to auditors		2		1
- Audit fees	2		1	
- For other services	-		-	
- Reimbursement	-		-	
Commitment charges		4		50
Miscellaneous expenses		13		17
TOTAL		1,634		1,015
*Consultants fees is net of capitalisation. 2021-22: Rs. 50.65 (2020-21: Rs 64)				
**Fair valuation of right to subscribe outstanding as at the year end.				

Ather Energy Private Limited
Notes to the financial statements

Note - 32 FAIR VALUE MEASUREMENT

Fair Valuation Techniques and Inputs used :

Element in Financial Statement	Classification	Fair Value as at		Fair Value Hierarchy	Valuation techniques used	Significant unobservable input
		31 March 2022	31 March 2021			
(i) Investments in mutual funds	FVTPL	373	924	Level 1	At Market Prices	-
(ii) Investments in commercial paper	Amortised Cost	-	-	Level 2	At cost	-
(iii) Investments in equity	FVTPL	0	0	Level 3	At cost	-
(iv) Stock Appreciation rights	FVTPL	175	93	Level 3	At Market Prices	-
(v) Right to subscribe	FVTPL	49	157	Level 3	At Market Prices	-
(vi) Security Deposits	Amortised Cost	55	-	Level 3	Effective Interest Rate	At Risk Free Rate

There were no transfers between level 1 and level 2 for recurring fair value measurements during the year.

There were no significant inter-relationships between unobservable inputs that materially affects fair values.

Note - 33 TERMS OF BORROWING

(Amount in Rs. millions)

Particulars	Lender	Outstanding Amount	Term (years)	Interest	No. of instalments outstanding	Primary security
Secured Loans - Long term	Hero FinCorp Ltd	18	5 Years	10%	14	Fixed assets
		61	5 Years	10%	15	Fixed assets
		69	6 Years	10%	20	First pari passu charge on all the current assets
		120	6 Years	10%	21	
		430	5 Years	15%	26	Movable property (not being pledge)
		68	5 Years	15%	27	
		420	2 Years	16%	15	
		267	2 Years	16%	16	Movable property (not being pledge); Exclusive pledge over 89,600 equity shares.
		492	3 Years	18%	29	
Secured Loans - Long term	Axis Bank	24	5 Years	9%	7	Book debts; floating charge; movable property (not being pledge); fixed deposit
		264	5 Years	9%	47	
Secured Loans - Long term	InnoVen Capital India Pvt. Ltd.	63	3 Years	14%	4	Uncalled share capital; book debts; trademark;
Secured Loans - Short term		400	4 Months	15%	1	patent, licence under a patent; movable property (not being pledge); copyright.
Secured Loans - Short term	Axis Bank	289	6 Months	9%	1	Charge on all current assets; fixed deposit; brand trademark, patent, licence under a patent.

Ather Energy Private Limited
Notes to the financial statements

Note - 34 OPERATING SEGMENTS

Operating Segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker ('CODM') of the Company. The CODM, who is responsible for allocating resources and assessing performance of the operating segments, that has been identified by the Directors of the Company.
Domestic segment includes sales and services to customers located in India. There are no major individual customer whose revenue exceeds more than 10% of the entity's revenue.

Note - 35 EMPLOYEE BENEFITS

(a) Defined Contribution Plan

The Company's contribution to Provident Fund aggregating Rs. 38 millions (2020-21:Rs. 23 millions) has been recognised in the Statement of Profit or Loss under the head Employee Benefits Expense.

The significant actuarial assumptions used for the purposes of the actuarial valuations were as follows:

Particulars	Gratuity	
	Valuation as at	
	31 March 2022	31 March 2021
Discount rate(s)	6.03%	5.63%
Expected return on assets	0.00%	0.00%
Expected rate(s) of salary increase	15.00%	15.00%
Attrition rate	18.00%	18.00%

Defined benefit plans – as per actuarial valuation as on

(Amount in Rs. millions)

Particulars	Gratuity	
	31 March 2022	31 March 2021
A. Components of Employer Expense		
Current Service Cost	16	17
Past service cost and (gains)/losses from settlements	-	-
Net interest expense	3	2
Components of defined benefit costs recognised in profit or loss	19	19
B. Remeasurement effects recognised in Other Comprehensive Income		
Actuarial gains and loss arising from changes in financial assumptions	(2)	1
Actuarial gains and loss arising from experience adjustments	7	(10)
Others (Actuarial gains and loss arising from changes in demographic assumptions)	-	0
Components of defined benefit costs recognised in other comprehensive income	5	(9)
Total	24	10
I. Net Asset/(Liability) recognised in the Balance Sheet as at 31 March		
1. Present value of defined benefit obligation as at 31st March	66	46
2. Fair value of plan assets as at 31st March	-	-
3. Surplus/(Deficit)	(66)	(46)
4. Current portion of the above	(5)	(2)
5. Non current portion of the above	(61)	(43)

Ather Energy Private Limited Notes to the financial statements				
(Amount in Rs. millions)				
II. Change in the obligation during the year ended 31 March				
1. Present value of defined benefit obligation at the beginning of the year		46	38	
2. Expenses Recognised in statement of Profit and Loss				
- Current Service Cost		16	17	
- Past Service Cost		-	-	
- Interest Expense (Income)		3	2	
3. Recognised in Other Comprehensive Income				
<i>Remeasurement gains / (losses)</i>		7	(10)	
- Actuarial Gain (Loss) arising from:		(2)	1	
i. Demographic Assumptions		-	0	
ii. Financial Assumptions				
iii. Experience Adjustments		(3)	(3)	
4. Benefit payments		66	46	
5. Present value of defined benefit obligation at the end of the year				
III. Change in fair value of assets during the year ended 31 March				
1. Fair value of plan assets at the beginning of the year		-	-	
2. Expenses Recognised in statement of Profit and Loss		-	-	
- Expected return on plan assets		-	-	
3. Recognised in Other Comprehensive Income		-	-	
<i>Remeasurement gains / (losses)</i>		-	-	
- Actual Return on plan assets in excess of the expected return		-	-	
- Others (specify)		-	-	
4. Contributions by employer (including benefit payments recoverable)		-	-	
5. Benefit payments		-	-	
6. Fair value of plan assets at the end of the year		-	-	
The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is:				
Principal assumption		Gratuity		
		Changes in assumption	Impact on defined benefit obligation Increase in assumption Decrease in assumption	
Discount rate	2022 2021	100bps 100bps	(4) (3)	5 4
Salary growth rate	2022 2021	100bps 100bps	3 3	(3) (2)
Attrition rate	2022 2021	25% 25%	(8) (14)	12 1
The above sensitivity analyses are based on a change in an assumption while holding all other assumptions constant. In practice this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the Balance sheet.				
The methods and types of assumptions used in preparing the sensitivity analyses did not change compared to previous period.				

Ather Energy Private Limited**Notes to the financial statements****Maturity profile of defined benefit obligation:**

	(Amount in Rs. millions)	
	As at 31 March 2022	As at 31 March 2021
Within 1 year	5	2
2-5 year	27	18
5 years and above	78	55

The weighted average duration of the defined benefit obligation as at 31 March 2022 is 4.48 years (2021: 4.48 years)

VIII. Experience Adjustments :

	Period Ended	
	31 March 2022	31 March 2021
	Gratuity	
1. Defined Benefit Obligation	66	46
2. Fair value of plan assets	-	-
3. Surplus/(Deficit)	66	46
4. Experience adjustment on plan liabilities [(Gain)/Loss]	7	(10)
5. Experience adjustment on plan assets [Gain/(Loss)]	-	-

The estimate of future salary increases, considered in actuarial valuation, takes account of inflation, seniority, promotion and other relevant factors, such as supply and demand in the employment market.

Since the Gratuity is not funded, there is no exposure to interest rate risk and investment risk. Other risk are as evaluated below :

- Longevity risk - The present value of the defined benefit plan liability is calculated by reference to the best estimate of the mortality of plan participants both during and after their employment. An increase in the life expectancy of the plan participants will increase the plan's liability.
- Salary risk - Higher than expected increases in salary will increase the defined benefit obligation

Ather Energy Private Limited**Notes to the financial statements****Note - 36 RELATED PARTY DISCLOSURES****Related Parties****Party which has significant influence**

1. Hero MotoCorp. Ltd
2. Sachin Bansal

Party over which Hero MotoCorp. Ltd has significant influence

1. Hero FinCorp Limited

Key Managerial Personnel

1. Tarun Sanjay Mehta - Director
2. Swapnil Babanlal Jain - Director
3. Rajat Bhargava - Director (upto 15 October 2020)
4. Deepak Jain - Chief Financial Officer
5. Raj Kiran Sitaramu Badavanahalli - Company Secretary (w.e.f 19 October 2020)
6. Harish Brahmakal Nagaraj - Company secretary (upto from 19 October 2020)
7. Reeta Nathwani - Director (w.e.f 23 November 2020)
8. Niranjana Kumar Gupta - Director (w.e.f 3 November 2020)

Nature of transactions with Related Parties**Details of transaction between the Company and its related parties are disclosed below:***(Amounts In Rs millions)*

Particulars	For the year ended	Hero Moto Corp. Ltd.	Hero FinCorp Limited	Sachin Bansal	KMP of the Company
Issue of Equity shares including securities premium*	31-Mar-22	0	-	0	-
	31-Mar-21	-	-	-	-
Issue of Compulsorily Convertible preference shares including securities premium	31-Mar-22	-	-	-	-
	31-Mar-21	1,739	-	1,700	-
Issue of Compulsorily Convertible debentures including securities premium	31-Mar-22	1,500	-	-	-
	31-Mar-21	-	-	-	-
Term loan taken	31-Mar-22	-	1,300	-	-
	31-Mar-21	-	-	-	-
Repayment of term loan	31-Mar-22	-	460	-	-
	31-Mar-21	-	150	-	-
Interest on Term loan **	31-Mar-22	-	253	-	-
	31-Mar-21	-	160	-	-
Managerial remuneration paid to KMPs ***	31-Mar-22	-	-	-	40
	31-Mar-21	-	-	-	43

Nature of balances with Related Parties

Particulars	For the year ended	Hero Moto Corp. Ltd.	HeroFin Corp Limited	Sachin Bansal	KMP of the Company
Term Loan	31-Mar-22	-	1,944	-	6
	31-Mar-21	-	1,104	-	-
Interest accrued on long term debts	31-Mar-22	-	8	-	-
	31-Mar-21	-	12	-	-

*Excludes Rs. 48,900 per share securities premium on fair valuation of right to subscribe.

**Excludes Rs. 10 millions charged to statement of profit and loss on account of effective interest rate calculation as per Ind AS.

***The Actuarial Valuation Report & ESOP valuation is taken for the entire Company with out any bifurcation to any specific employee. Hence it is not included in related party transaction.

Ather Energy Private Limited
Notes to the financial statements

Note - 37 CONTINGENT LIABILITIES AND COMMITMENTS

(Amounts In Rs millions)

Contingent liabilities (to the extent not provided for)	Amount in Rs.	
	As at 31 March 2022	As at 31 March 2021
Contingent liabilities		
(a) Claims against the Company not acknowledged as debt # (Custom Duties, GST & litigation)	2	-
Commitments		
(a) Estimated amount of contracts remaining to be executed on capital account and not provided for (net of advances)	209	19

Note - 38

DISCLOSURES REQUIRED UNDER SECTION 22 OF THE MICRO, SMALL AND MEDIUM ENTERPRISES DEVELOPMENT ACT, 2006

Particulars	As at 31 March 2022	As at 31 March 2021
	Rs.	Rs.
(i) Principal amount remaining unpaid to MSME suppliers as on	88	22
(ii) Interest due on unpaid principal amount to MSME suppliers as on	7	3
(iii) The amount of interest paid along with the amounts of the payment made to the MSME suppliers beyond the appointed day	-	-
(iv) The amount of interest due and payable for the year (without adding the interest under MSME Development Act)	4	3
(v) The amount of interest accrued and remaining unpaid as on	7	3
(vi) Amount of further interest remaining due and payable even in the succeeding year.	-	-

Dues to Micro and Small Enterprises have been determined to the extent such parties have been identified on the basis of information collected by the Management. This has been relied upon by the auditors.

Ather Energy Private Limited
Notes to the financial statements

Note - 39 CAPITAL MANAGEMENT

(Amounts In Rs millions)

The Company's capital management objectives are:

- to ensure the Company's ability to continue as a going concern
- to provide an adequate return to shareholders by pricing products and services commensurately with the level of risk.
- to augment requisite resources for future infrastructure requirements

For the purpose of debt to total equity ratio, debt considered is long-term and short-term borrowings. Total equity comprise of issued share capital and all other equity reserves.

The Company sets the amount of capital in proportion to its overall financing structure, i.e. equity and financial liabilities. The Company manages the capital structure and makes adjustments to it in the light of changes in economic conditions and the risk characteristics of the underlying assets.

Particulars	As at 31 March 2022	As at 31 March 2021
Total equity attributable to the equity shareholders	2,249	3,762
Total equity attributable to the equity shareholders	2,249	3,762
As a percentage of total capital	43%	69%
Long term borrowings including current maturities	2,298	1,717
Short term borrowings	687	
Total borrowings	2,985	1,717
As a percentage of total capital	57%	31%
Total capital (equity and borrowings)	5,234	5,479

Financial Risk Management Framework

The Company's activities expose it to a variety of financial risks: credit risk, liquidity risk and market risk. In order to manage the aforementioned risks, the Company operates a risk management policy and a program that performs close monitoring of and responding to each risk factors. The Company is constantly evaluating micro and macro economic factors influencing the business including, economical, geo-political, pandemic (similar to Covid 19), and other risks which may have a bearing on the business or operations. The Company is of the view that the impact of these risks would not have a material impact on the business in medium to long term business plans. The Company continuously monitor these risks and other developments to identify significant uncertainties.

Risk	Exposure Arising from	Measurement	Managemnet
Credit Risk	Cash & Cash Equivalents, Financial Assets	Credit Ratings, Aging analysis	a. Diversification of Investments, b. Check on Counter Parties Credibility
Liquidity risk	Other Liabilities	Maturity Analysis	Maintaining sufficient cash and cash equivalents.
Market risk - Currency Risk - Interest Rate risk - Other Price risk	Financial Assets and liabilities not in INR.	Foreign Currency Exposure	NA

CREDIT RISK

(i) Credit risk management

Credit risk arises when a counterparty defaults on its contractual obligations to pay resulting in financial loss to the Company. The Company has adopted a policy of dealing with creditworthy counterparties, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies where available and, if not available, the Company uses other publicly available financial information and its own trading records to rate its major customers. The Company's exposure and credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties.

The loss allowance provision is determined as follows:

(Amounts In Rs millions)

Particulars	Not due	Less than 6 months past due	More than 6 months past due	Total
Expected loss rate	-	-	-	-
Gross carrying amount	-	-	88	88
Loss allowance provision	-	-	(88)	(88)

Ather Energy Private Limited
Notes to the financial statements

LIQUIDITY RISK

(i) Liquidity risk management

Ultimate responsibility for liquidity risk management rests with the board of directors, which has established an appropriate liquidity risk management framework for the management of the Company's short-, medium- and long-term funding and liquidity management requirements. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities.

(ii) Maturities of financial liabilities

The following tables detail the Company's remaining contractual maturity for its non-derivative financial liabilities with agreed repayment periods. The amount disclosed in the tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Company can be required to pay. The contractual maturity is based on the earliest date on which the Company may be required to pay.

(Amounts In Rs millions)

Particulars	Less than 1 Year	1-5 Years	5 years and above
	Rs	Rs	Rs
Financial liabilities			
31 March 2022			
Trade Payable	1,216	-	-
Loans	1,897	1,088	-
Lease liabilities	68	302	295
Total	3,181	1,390	295
31 March 2021			
Trade Payable	676	-	-
Loans	609	1,108	-
Lease liabilities	97	68	307
Total	1,382	1,176	307

MARKET RISK

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises three types of risk: currency risk, interest rate risk and other price risk such as equity price risk and commodity price risk. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return. All such transactions are carried out within the guidelines set by the Board of Directors and Risk Management Committee.

There has been no significant changes to the Company's exposure to market risk or the methods in which they are managed or measured.

Currency Risk

The Company undertakes transactions denominated in foreign currencies; consequently, exposures to exchange rate fluctuations arise. The Company's / Company's exposure to currency risk relates primarily to the Company's operating activities and borrowings when transactions are denominated in a different currency from the Company's functional currency.

OTHER PRICE RISK

The Company is exposed to equity price risks arising from equity investments. Equity investments are held for strategic rather than trading purposes. The Company does not actively trade these investments.

Ather Energy Private Limited
Notes to the financial statements

Note - 40 EARNINGS PER SHARE

Particulars	Year ended 31 March 2022	Year ended 31 March 2021
Profit / (loss) for the year attributable to owners of the Company	(3,441)	(2,333)
Less: Preference dividend and tax thereon	-	-
Profits used in the calculation of basic earnings per share from continuing operations	(3,441)	(2,333)
Weighted average number of equity shares	4,80,972	4,17,078
Earnings/ (Loss) per share from continuing operations - Basic and diluted (in Rs.)	(7,154)	(5,594)

Note - 41 INCOME TAX

The Company is yet to make any taxable business profits. Therefore, the income from profit/loss in business is Nil.

The effective tax rate of the Company is 31.2% (Previous Year 26%)

Deferred Tax

The Company has unrecognised deferred tax asset on carried forward loss (including unabsorbed depreciation) of Rs. 2,956 millions (2021: Rs. 1,571 millions). In view of the accumulated losses and the losses incurred during the current year, the Company has not recognised the Deferred tax asset on the ground of prudence.

Particulars	As at 31 March 2022	As at 31 March 2021
Deferred tax on unused Tax losses (revenue in nature)	2,431	1,295
Deferred tax on unabsorbed Depreciation (will never expire)	525	276
Total	2,956	1,571

Ather Energy Private Limited
Notes to the financial statements

Note - 42 Revenue from contracts with customers

The Company has evaluated the risk of non realisation of dues and no impairment loss is required at this stage considering the fact that customers pay in advance. Revenue from operations significantly represent sale of electric two wheeler vehicles to customers at a fixed price contract. Primary geographical region for the revenue is India. The timing of transfer of goods is at a point in time, which coincides to delivery of vehicle/services to customers.

Currently CODM looks at the overall business as one single unit for revenue generation and resource allocation and hence no separate disclosure on segment reporting is required.

There are no revenue recognised, which were included in the contract liability at the beginning of the period. There are no revenue recognised in the reporting period from performance obligations satisfied or partially satisfied in previous periods, changes in transfer price.

As a part of pre-customer delivery, the charging infrastructure of the two wheeler is installed by the Company by involvement of another third party sub-contractor.

All revenue contracts executed are on non-returnable basis. In case of any customer advances received, entity has a policy of refunds before customer delivery incases of cancellation of sales order. There are no significant judgements used in determining timing of satisfaction of performance obligations. Allocation of transaction price for Ather Service subscription (Ather One) included in the customer contract is based on input method. As the nature of transaction being allocated is service based, entity reasonably identifies the input method to be appropriate.

A. Disaggregated revenue information

The table below presents disaggregated revenue from contract with customers for the year ended March 2022 and March 2021. The Company believes that this disaggregation best depicts how the nature, amount, timing and uncertainty of revenues and cash flows are affected by industry, market and other economic factors.

Particulars	Year ended 31 March 2022	Year ended 31 March 2021
Revenue from contracts with customers disaggregated based on geography		
a. Domestic	4,085	798
b. Exports	-	-
Total Revenue from Operations	4,085	798
C. Reconciliation of Gross Revenue from Contracts With Customers		
Gross Revenue	4,093	810
Less : Deferred revenue	8	12
Net Revenue recognised from Contracts with Customers	4,085	798
D. Deferred Revenue		
Balance as at the beginning of the year	12	11
Revenue recognised that was included in the deferred revenue balance at the beginning of the year	12	11
Increases due to cash received, excluding amounts recognised as revenue during the year	8	12
Balance as at end of the year	8	12

The Company sells goods on advance payment basis. Hence, there is no significant financing component in any transaction with the customers.

Note - 43

The Code on Social Security, 2020 (the Code) has been enacted, which would impact the contributions by the Company towards Provident Fund and Gratuity. The effective date from which the changes are applicable is yet to be notified. The Ministry of Labour and Employment (the Ministry) has released draft rules for the Code on 13 November 2020. The Company will complete its evaluation and will give appropriate impact in its financial statements in the period in which the Code becomes effective and the related rules are published.

Note - 44

Amendments effective from April 1, 2022 :

On March 23, 2022, the Ministry of Corporate Affairs (MCA) issued certain amendments and annual improvements to Ind AS. These amendments are applicable for accounting periods beginning on or after April 1, 2022:

- Ind AS 103 – Business Combinations – Reference to conceptual framework added
- Ind AS 16 – Property, Plant and Equipment – Accounting for proceeds before an asset's intended use
- Ind AS 37 – Provisions, Contingent Liabilities and Contingent Assets – Assessing if the contract is onerous
- Annual improvements to Ind AS – Improvements added in Ind AS 101 (First time adoption of Ind AS), Ind AS 109 (Financial Instruments), Ind AS 116 (Leases) and Ind AS 41 (Agriculture)

The Company will evaluate the impact of the above, where applicable, on the financial statements and give impact of the same in the relevant period.

Ather Energy Private Limited			
Notes to the financial statements			
Note - 45 Additional Regulatory Information			
Accounting Ratios			
Particulars	31-Mar-22	31-Mar-21	% change
(i) Current ratio			
Current Assets (A)	2,926	2,585	
Current Liabilities (B)	3,943	2,038	
Current Ratio (A/B)	0.74	1.27	-41%
Note: Current ratio has reduced during the year due to increase in short term borrowings and trade payables to meet increased operational requirements and liquidation of short term investments.			
(ii) Debt to Equity ratio			
Long term borrowings	1,088	1,108	
Short term borrowings	1,897	609	
Total Debt (A)	2,985	1,717	
Shareholders' Equity (B)	2,249	3,762	
Debt to Equity ratio (A/B)	1.33	0.46	191%
Note: Increase in debt to equity ratio during the year is due to increase in short term borrowings and accumulation of current year losses.			
(iii) Debt service coverage ratio			
Note: Ratio is not presented since the Company has incurred losses during the current and previous year.			
(iv) Return on Equity			
Profit / (Loss) after tax	(3,441)	(2,333)	
Less:			
Preference Dividend	-	-	
Net Profit / (Loss) after tax (A)	(3,441)	(2,333)	
Opening Shareholder's equity	3,762	2,504	
Closing shareholders' equity	2,249	3,762	
Average shareholder's equity (B)	3,005	3,133	
Return on Equity (A/B)	-114%	-74%	54%
Note: Decrease in return on equity is due to losses incurred during the year, despite issue of equity shares against share subscription rights & issue of compulsorily convertible debentures at premium.			
(v) Inventory turnover ratio			
Cost of goods sold (A)	3,916	917	
Opening inventory	567	177	
Closing inventory	607	567	
Average inventory (B)	587	372	
Inventory turnover ratio (A/B)	6.67	2.47	170%
Note: Improvement in inventory turnover ratio is due to increased operations and comparable reduction in inventory held in stock during the year.			
(vi) Trade Receivable turnover ratio			
Note: Trade Receivable turnover ratio is not applicable since the Company sells goods / services on advance basis. Outstanding trade receivables are mainly on account of receivable on scrap sales and debit notes raised on dealers.			
(vii) Trade Payable turnover ratio			
Total purchases & other expenses (A)	5,528	2,230	
Opening payable	676	106	
Closing payable	1,216	676	
Average accounts payable (B)	946	391	
Trade Payable turnover ratio (A/B)	5.84	5.71	2%

Ather Energy Private Limited Notes to the financial statements			
Particulars	31-Mar-22	31-Mar-21	% change
(viii) Net capital turnover ratio			
Net sales (A)	4,085	798	
Current assets	2,926	2,585	
Current liabilities	3,943	2,038	
Working capital (B)	(1,017)	547	
Net capital turnover ratio (A/B)	(4.02)	1.46	-375%
Note: Reduction in working capital turnover ratio is due to reduction in net working capital on account of increase in short term borrowings and trade payables to meet increased operational requirements and liquidation of short term investments.			
(ix) Net Profit / (Loss) ratio			
Net Profit / (Loss) (A)	(3,441)	(2,333)	
Net sales (B)	4,085	798	
Net Profit / (Loss) ratio (A/B)	-84%	-292%	-71%
Note: Increase in net Profit / (Loss) ratio is due to increase in operations of the company during the year and related economies of scale.			
(x) Return on capital employed			
Profit / (Loss) before taxes	(3,441)	(2,333)	
Add:			
Depreciation and amortization	484	351	
Interest cost	398	276	
Earning before interest, depreciation and taxes (A)	(2,559)	(1,706)	
Tangible net worth	(82)	1,348	
Total Debt	2,985	1,717	
Capital employed (B)	2,903	3,065	
Return on capital employed (A/B)	-88%	-56%	58%
Note: Decrease in return on capital employed ratio is due to increase in losses during the year while the capital employed has remained the same.			
(xi) Return on Investment			
Capital Gain / (Loss) & Dividend	20	27	
Mark to Market valuation	-	6	
Profit / (Loss) on Investment in Mutual Funds (A)	20	33	
Opening Investment	1,120	857	
Closing Investment	569	1,120	
Average Investment in Mutual Funds (B)	844	988	
Return on Investment in Mutual Funds (A/B)	2%	3%	-29%
Note: Decrease in return on investment in Mutual Funds is due to reduction in average investments held during current year.			
Note 46 : Other statutory disclosures A. The company has not advanced or loaned or invested funds (either borrowed funds or share premium or any other sources or kind of funds) to any other persons or entities, including foreign entities (Intermediaries) with the understanding (whether recorded in writing or otherwise) that the Intermediary shall; i. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company (Ultimate Beneficiaries) or ii. provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries B. The company has not received any fund from any persons or entities, including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the company shall; i. directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or ii. provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries,			
Note 47 As at 31st March 2022 there are no proceedings initiated or pending against the company for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (45 of 1988) and rules made thereunder.			
Note 48 As of balance sheet, the Company has an aggregate sum of INR 6.08 millions (USD 78,390 and EURO 7,367) payable to overseas companies towards import of goods and services which are outstanding beyond the prescribed time limit for payment as per the extant Foreign Exchange Management Act (FEMA) regulations. The Company is in the process of collating the requisite documentation for initiating payments. The Company believes that the penalty, if any, on account of these delays will not be material.			

Ather Energy Private Limited
Notes to the financial statements

Note - 49

The financial statements are presented in Rs. in million. Those items which are required to be disclosed and which were not presented in the financial statement due to rounding off to the nearest Rs. in million are given below as applicable:

Statement of Changes in Equity:

Particulars	Equity Shares of Re. 1 each		Equity Shares of Rs. 37 each	
	No. of Shares	Amount in Rs. Millions	No. of Shares	Amount in Rs. Millions
As at 31 March 2020	1,05,805	1,05,705	3,530	1,30,610
Changes in equity share capital during the year	-	-	-	-
As at 31 March 2021	1,05,805	1,05,705	3,530	1,30,610
Changes in equity share capital during the year	5,025	5,025	-	-
As at 31 March 2022	1,10,830	1,10,730	3,530	1,30,610

Statement of Cash Flows

Particulars	As at 31 March 2022 Amount (Rs.)	As at 31 March 2021 Amount (Rs.)
C. Cash flows from financing activities		
Proceeds from issue of CCPS and equity shares	5,025	-

Other Financial Assets (Refer Note - 3)

Particulars	As at 31 March 2022 Amount (Rs.)	As at 31 March 2021 Amount (Rs.)
Investments in equity instruments (unquoted)		
Investments in Equity shares of M/S Autovert Technologies Private Limited (570 (PY 570) equity shares of Rs. 10 each)	5,700	5,700

Cash and Cash Equivalents (Refer Note - 8)

Particulars	As at 31 March 2022 Amount (Rs.)	As at 31 March 2021 Amount (Rs.)
Cash in hand	20,537	1,376

Trade Payables (Refer Note - 19)

(c) Relationship with struckoff companies

Name of struck off Company	Transactions during the year 31 March 2022	Transactions during the year 31 March 2021	Balance outstanding as at 31 March 2022	Balance outstanding as at 31 March 2021
Touch Stream Solutions Private Ltd.	10,730	24,581	-	-

Related Party Disclosures (Refer Note - 36)

Particulars	For the year ended	Hero Moto Corp. Ltd.	Hero FinCorp Limited	Sachin Bansal	KMP of the Company
Issue of Equity shares including securities premium	31-Mar-22 31-Mar-21	998 -	- -	4,027 -	- -

Note 50

Previous year's figures have been regrouped or reclassified wherever necessary to correspond to the current year's grouping / classification and disclosure.

For and on behalf of Board of Directors of Ather Energy Private Limited

MEHTA
TARUN
SANJAY

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by MEHTA TARUN
SANJAY
Date: 2022.05.02
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Tarun Sanjay Mehta
Director
DIN: 6392463

SWAPNIL
BABANLAL
JAIN

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by SWAPNIL
BABANLAL JAIN
Date: 2022.05.02
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Swapnil Babanlal Jain
Director
DIN: 6682759

DEEPA
K JAIN

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by DEEPAK JAIN
Date: 2022.05.02
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Deepak Jain
Chief Financial Officer

Raj Kiran
B S

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by Raj Kiran B S
Date: 2022.05.02
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Raj Kiran BS
Company Secretary

Date: 2 May 2022
Place: Ahmedabad

Date: 2 May 2022
Place: Bangalore

Date: 2 May 2022
Place: Bangalore

Date: 2 May 2022
Place: Bangalore